

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 34
JUDICIAL OFFICER: LEONARD E MARQUEZ
HEARING DATE: 06/22/2026

INSTRUCTIONS FOR CONTESTING TENTATIVE RULING IN
DEPARTMENT 34

The tentative ruling will become the ruling of the Court unless by 4:00PM of the Court day preceding the hearing, notice is given of an intent to argue the matter. Counsel or self-represented parties must email Department 34 (Dept34@contracosta.courts.ca.gov) to request argument and must specify, in detail, what provision(s) of the tentative ruling they intend to argue and why. Counsel or self-represented parties requesting argument must advise all other counsel and self-represented parties by no later than 4:00PM of their decision to argue, and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Pursuant to Local Rule 3.43(2).)

ALL APPEARANCES TO ARGUE WILL BE IN PERSON OR BY ZOOM, PROVIDED
THAT PROPER NOTIFICATION IS RECEIVED BY THE DEPARTMENT
AS PER ABOVE.

Zoom link-

[https://contracosta-courts-
ca.zoomgov.com/j/1611085023?pwd=SUxPTEFLVzRFYXZycWdTWlJCdlhldz09](https://contracosta-courts-ca.zoomgov.com/j/1611085023?pwd=SUxPTEFLVzRFYXZycWdTWlJCdlhldz09)

Meeting ID: 161 108 5023
Passcode: 869677

Courtroom Clerk's session

1. 9:00 AM CASE NUMBER: C24-00074
CASE NAME: NEXT LEVEL STRATEGIES, INC. VS. NEXTGEN LABORATORIES, A CALIFORNIA CORPORATION
HEARING ON ORDER TO SHOW CAUSE IN RE: CONTEMPT AGAINST J. DEL SIGNORE
FILED BY:
TENTATIVE RULING:

Plaintiff and judgment creditor Next Level Strategies, Inc. ("Judgment Creditor") filed a Motion for an Order to Show Cause re Contempt against Joseph del Signore re Subpoena on November 19, 2026 (the "Motion for OSC"). The Motion for OSC was initially set for hearing on April 6, 2026. Later, the hearing date was reset by the Court on April 13, 2026.

On April 13, 2026, the Court granted the Motion for OSC and thereafter issued its Order to Show Cause re Contempt against J. Del Signore re Subpoena on April 29, 2026 (the "OSC").

The OSC ordered Joseph Del Signore (“Mr. Del Signore”) to respond to the subject Subpoena no later than 30 days after notice of entry of the order. See OSC, ¶4.A. If Mr. Del Signore failed to comply, he was ordered to show cause why the Court should not find him in contempt or other impose other punishment, including sanctions for the attorneys’ fees and costs incurred by the Judgment Creditor. *Id.* at ¶4.B.

The OSC was set for hearing on June 22, 2026.

On May 11, 2026, a Proof of Service of the OSC on Mr. Del Signore was filed. The Proof of Service reflects personal service of the OSC on Mr. Del Signore on May 6, 2026.

On June 8, 2026, the Judgment Creditor filed a Status Report with the Court. Among other things, the report includes a meet and confer letter directed to Mr. Del Signore recounting the history of the Subpoena and the OSC, demanding a response by June 5, 2026 or other action to resolve the matter.

Background

A money judgment was entered by the Court on May 14, 2024 (the “Judgment”) against defendant and judgment debtor NextGen Laboratories (the “Judgment Debtor”).

On August 12, 2024, the Court issued its Order to Appear for Examination directed to “Joseph Del Signore for NextGen Laboratories, a California corporation” (the “OEX”). The OEX was set for February 4, 2025.

The Judgment Creditor served a Civil Subpoena dated August 15, 2024 directed to “Joseph Del Signore President, NextGen Laboratories, a California corporation” with an address in Newport Beach, California (the “Subpoena”). See Declaration of Bryan D. Sampson and filed November 19, 2025, **Exhibit 3**; see also Affidavit filed December 12, 2025.

The Subpoena demands production of various documents, including various financial records (the “Records Sought”). *Id.* at **Exhibit 3**, Attachment 2.

The OEX and Subpoena were personally served on Joseph Del Signore. *Id.* at **Exhibit 4**.

On February 4, 2025 there was no appearance by Judgment Debtor for the OEX. The Court issued a bench warrant warning letter. See Minute Order dated February 4, 2025. The OEX was continued to March 4, 2025. *Id.*

There was no appearance at the continued OEX and the Court ordered a bench warrant be issued (to be prepared by counsel for Plaintiff with the related required paperwork). See Minute Order dated March 4, 2025.

Analysis

Disobedience of a subpoena duly served may be punished as a contempt of court. Code Civ. Proc. § 1991 (“Disobedience to a subpoena, or a refusal to be sworn, or to answer as a witness, or to subscribe an affidavit or deposition when required, may be punished as a contempt by the court issuing the subpoena.”); Code Civ. Proc. § 1209(a)(10) (“The following acts or omissions in respect to a court of justice, or proceedings therein, are contempts of the authority of the court: [¶] [d]isobedience of a subpoena duly served”); see *Chapman v. Superior Court of Los Angeles County* (1968) 261 Cal.App.2d 194, 197-198.

The Court finds that the OSC was served on the alleged contemnor, Mr. Del Signore, in the same manner as a summons. *Cedars-Sinai Imaging Medical Group v. Superior Court* (2000) 83 Cal.App.4th 1281.

If Mr. Del Signore (or attorney on his behalf) fails to appear on the OSC, the Court will issue a warrant for Mr. Del Signore's arrest to bring him before the Court to answer the OSC. Code Civ. Proc. § 1212. The Court shall endorse on the warrant a direction that the person charged may be released by posting a specified bail. See *id.* at § 1213.

Disposition

The Court finds and rules as follows:

1. Parties and Mr. Del Signore to Appear on the OSC.

2. 10:00 AM CASE NUMBER: MSC19-02043

CASE NAME: GARAVENTA VS AZARI

***HEARING ON MOTION IN RE: ORDER AUTHORIZING RECEIVER TO SATISFY THE REPAIR OBLIGATION**

FILED BY: DONELL, STEPHEN

TENTATIVE RULING:

Before the Court is a Receiver Stephen J. Donell's motion for order authorizing the receiver to satisfy repair obligation.

Background

The action arises out of business disputes between plaintiff Silvio Garaventa and defendant Mehrzad Azari. The operative first amended complaint filed November 4, 2019 alleges that Mr. Garaventa and Mr. Azari each owned 50 percent of defendant Pine Hollow Enterprises, a corporation, and they were also each a director of Pine Hollow. (FAC ¶¶ 1, 2.) At that time, Mr. Garaventa alleges he and Mr. Azari also each held 50 percent membership interests in the limited liability company defendant AGL Enterprises, LLC. (FAC ¶¶ 1, 2, 4.)

When the case began, Pine Hollow operated a gas station, convenience store and car wash on property owned by AGL. (FAC ¶ 9.) Pine Hollow leased the property from AGL. (FAC ¶ 9.) Pine Hollow had an agreement with CMA, an entity owned by Mr. Azari, to manage Pine Hollow. (FAC ¶¶ 4, 13.)

Relevant to Pine Hollow, Mr. Garaventa's FAC alleges causes of action against Mr. Azari for breach of fiduciary duty under California Corporations Code section 309 (1st C/A), and against Mr. Azari and nominally Pine Hollow for judicial dissolution of Pine Hollow under Corporations Code section 1800 (5th C/A), appointment of a receiver (6th C/A), and declaratory relief (7th C/A). Among other claims, Mr. Garaventa challenges the CMA management agreement and alleges other acts and omissions of Mr. Azari in managing Pine Hollow and Mr. Azari's alleged refusal to provide Mr. Garaventa information regarding the business operations and financial condition of Pine Hollow.

A. Mr. Azari's Corporations Code Section 2000 Election and Pine Hollow Valuation

In response to Mr. Garaventa's cause of action for involuntary dissolution of Pine Hollow pursuant to Corporations Code section 1800, Mr. Azari notified the Court and counsel of his election to exercise his right to purchase Garaventa's 50% ownership interest in AGL under the AGL operating agreement and in Pine Hollow pursuant to Corporations Code section 2000(a). The disputes over AGL and its

valuation were submitted to arbitration pursuant to a motion by Mr. Azari, and the action was stayed as to Pine Hollow. (Order filed 7/16/2020.)

The Court also granted Mr. Garaventa's motion to appoint appraisers in part to the extent it sought the appointment of appraisers to value Pine Hollow in connection with Mr. Azari's Corporations Code section 2000 election. (7/16/2020 Order.) The Court subsequently issued its Order Pursuant to Corporations Code Section 2000 filed August 18, 2020 based on Mr. Azari's election to purchase Mr. Garaventa's 50% ownership interest in Pine Hollow. (8/18/2020 Order.)

On May 17, 2022, after several prior hearings addressing the status of the appraisals of Pine Hollow, the Court stayed the remainder of the action, in particular regarding the valuation of Pine Hollow, pending the completion of the AGL arbitration and the valuation of AGL through that proceeding. (5/17/2022 3rd Interim Order After Hearing.) On December 12, 2024, the Court granted a motion to bifurcate the Pine Hollow valuation from other issues in the case. (12/12/2024 Order.)

Mr. Azari attempted to withdraw his buy-out election under Corporations Code section 2000 in his Status Report re: Section 2000 Special Proceeding filed February 13, 2025. At the Court's request, the parties provided supplemental briefing on whether Mr. Azari had the right to withdraw the election and on the appraisals of Pine Hollow prepared by the three appraisers. At a March 28, 2025 hearing, the Court rejected Mr. Azari's attempt to withdraw his buy-out election and took the matter under submission after the parties' argument on the valuation issue. The Court issued its Order After Hearing and Decree Under Corporations Code § 2000 ("Section 2000 Decree") which was filed May 2, 2025. (5/2/2025 Section 2000 Decree.) Section 2000 Decree determined the valuation of Pine Hollow and set a 60-day deadline for Mr. Azari to complete the buy-out of Mr. Garaventa's ownership pursuant to Corporations Code section 2000(c). (5/2/2025 Section 2000 Decree.)

B. Court-Ordered Wind Up of Pine Hollow

Mr. Azari failed to complete the buy-out of Garaventa's interest in Pine Hollow by the Court-ordered deadline, resulting in the Court-ordered wind up of Pine Hollow pursuant to Corporations Code section 2000. (See Corp. Code § 2000(c) ["The court shall enter a decree, which shall provide in the alternative for winding up and dissolution of the corporation unless payment is made for the shares within the time specified by the decree."].) Mr. Azari made an *ex parte* application for appointment of a receiver over Pine Hollow on June 4, 2025. After hearings on June 4, 2025 and June 13, 2025, Mr. Azari's *ex parte* application was granted, and Stephen Donell was appointed as Receiver "with respect to, and to take possession, custody and control of, the going concern businesses operated by Pine Hollow located at 1024 Alberta Way, Concord, CA." (6/13/2025 Order.)

On August 28, 2025, the Receiver filed a motion for an order authorizing him to wind up the business of Pine Hollow. The Receiver subsequently filed an amended wind up motion on September 16, 2025. On October 28, 2025, the parties and the Receiver filed their Stipulation to Order Authorizing Receiver to Wind Up Pine Hollow Enterprises, Inc. ("Wind Up Stipulation") which was approved by the Court's Order of the same date.

Under the Wind Up Stipulation, the Receiver "is authorized to wind up Pine Hollow's business on such timeline as the Receiver in the exercise of his business judgment" deems appropriate and generally to take the actions the Receiver determines in his business judgment are reasonably necessary to wind

up Pine Hollow, including giving notices to the gasoline product supplier and convenience store franchisor. The Court signed a concurrent order granting the *ex parte* application for approval of the Wind Up Stipulation and confirming the hearing on the Receiver's wind up motion would remain on calendar. (10/28/2025 Order.)

On November 7, 2025, the Receiver filed a second amended wind up motion to reflect the developments in the case and the outstanding issues related to the wind up of Pine Hollow in light of the Wind Up Stipulation and Order. The Court issued an order after hearing on the second amended wind up motion, granting the Receiver's requests to pay an outstanding CMA invoice for approximately \$3,500 and for authority to pay real property taxes which Pine Hollow was obligated to pay under its lease with AGL by offsetting the amount of the taxes against the amount owed by AGL to Pine Hollow under a promissory note. (1/5/2026 OAH.) The Receiver's second amended motion also raised the issue of the repairs of the storage tanks and other related equipment which the Receiver concluded Pine Hollow was obligated to repair under the lease. The Court's order after hearing authorized the Receiver to solicit bids for the repairs, with any proposal to make the repairs to be the subject of a subsequent noticed motion. (1/5/2026 OAH.)

The Receiver's current motion addresses Pine Hollow's unperformed environmental repair obligations under its lease with AGL, as explained further below.

Legal Background and Analysis of Issues in Dispute

" 'A receiver is an agent and officer of the court, and is under the control and supervision of the court. [Citations omitted.]' " (*Southern California Sunbelt Developers, Inc. v. Banyan Limited Partnership* (2017) 8 Cal.App.5th 910, 922.) (*See also City of Sierra Madre v. SunTrust Mortgage, Inc.* (2019) 32 Cal.App.5th 648, 656 ["A receiver is an officer of the court and is subject to the court's continuing control"]; Code Civ. Proc. § 568; Cal. R. Ct., Rule 3.1179.) The property subject to the receivership is under the Court's control and "continuous supervision." (*City of Santa Monica v. Gonzalez* (2008) 43 Cal.4th 905, 930.) The Receiver's powers are controlled by statute, the order appointing the Receiver, and subsequent orders of the Court. (*Id.* at 930.) Based on the Court's supervision and control, a receiver may request instructions from the Court regarding the disposition of property and other issues arising in the receivership administration. (*See, generally, United Sav. & Loan Assn. v. Hoffman* (1973) 30 Cal.App.3d 306, 311 [addressing receiver's request for instructions as to disposition of surplus funds].) The Court has wide discretion in approving a receiver's proposed actions in the absence of "evidence of fraud, unfairness or oppression." (*City of Santa Monica v. Gonzalez, supra*, 43 Cal.4th at 931.)

Requests for Judicial Notice

Each party has requested judicial notice of Court filings made in this case, which requests are unopposed and **GRANTED**, subject to the applicable limitations on the scope of judicial notice. (Evid. Code §§ 452(d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same]; *Sosinsky v. Grant* (1992) 6 Cal. App. 4th 1548, 1569 [judicial notice of prior order or judgment].)

Notes on Receiver's Declaration

The Court notes there are typographical errors in paragraph 3 of the Donell Declaration and the Receiver's memorandum regarding the dates of the Pine Hollow lease and first amendment to lease with AGL; nevertheless, the lease documents themselves are attached as Exhibit B to the Donell Declaration and provide the correct dates. The Court also notes that the March 17, 2026 letter to the Receiver expressing Mr. Garaventa's position that Pine Hollow has no obligation to make repairs, referred to as Exhibit F to the Donell Declaration, is not attached to the Court-filed version of the declaration. (Donell Decl. ¶ 8.) The omission is not material, since Mr. Garaventa has filed an opposition to the motion setting forth his position in detail.

Analysis

A. The Receiver's Position and Request for Authority to Satisfy Repair Obligation

Pine Hollow is no longer operating and has vacated the gas station property as part of the wind up of its affairs. The Receiver has analyzed the Pine Hollow lease with AGL and concludes that Pine Hollow is obligated under its lease with AGL to make repairs to maintain its storage tanks and related equipment in compliance with the environmental laws. The lease recognized Pine Hollow would install and use underground gasoline storage tanks, and made Pine Hollow "responsible for compliance with all applicable requirements and Environmental Laws," which are defined to include "any federal, state, or local environmental, health, or safety-related laws, regulations, standards, court decisions, ordinances, rules, codes, orders, decrees, directives, guidelines, permits, or permit conditions, currently existing and as amended, enacted, issued, or adopted in the future that are or become applicable to Tenant or the Premises." (Donell Decl. ¶ 3 and Exh. B [Lease Section 11].)

The Receiver has been advised by Mr. Azari that during Pine Hollow's operation and before the receivership commenced, leaks from the underground equipment were detected by sensors and repairs were needed on the underground equipment. (Donell Decl. ¶¶ 5, 6, and 8 and Exh. D.) The Receiver seeks to satisfy Pine Hollow's lease obligation by offsetting the cost of the repairs, based on an April 1, 2026 bid from CGRS Compliance Services, against the outstanding balance of a \$1 million promissory note executed by AGL in favor of Pine Hollow. (Donell Decl. ¶¶ 4, 7 and Exh. C.) The motion states the current balance of the AGL note is approximately \$892,000 and the costs of the repairs, including permits, are approximately \$597,000. (Donell Decl. ¶ 6 and Exh. E.) (The Donell Declaration attaches a copy of the AGL note but does not state the current outstanding balance. See Donell Decl. ¶ 4 and Exh. C.)

The premises owned by AGL and formerly leased by Pine Hollow are now leased to a third party, Delong Liu/Delong Oil, Inc. (Donell Decl. ¶ 7; Bowles Opp. Decl. ¶.) There appears to be no dispute that the new tenant has accepted the premises subject to the lease with AGL in an "as is" condition. (Donell Decl. ¶ 8; Bowles Decl. ¶ 5.) Neither the Receiver nor Pine Hollow are in possession of the premises to perform the physical repairs. (Donell Decl. ¶¶ 7, 8.)

The Receiver has solicited bids over a period of months for contractors willing to perform the necessary repairs. (Donell Decl. ¶ 6 and Exh. E; Supp. Donell Decl. ¶¶ 3, 4.) The only contractor willing to bid on the project is CGRS, whose bid the Receiver presents with this motion. (Donell Decl. ¶ 6 and Exh. E; Supp. Donell Decl. ¶¶ 3, 4.) The CGRS bid sets forth the company's proposed scope of work to

bring the property into compliance with applicable environmental requirements. (Donell Decl. Exh. E.)

B. Mr. Garaventa's Opposition to the Motion

Mr. Garaventa opposes the Receiver's request because he contends that the new "as is" lease of the property to Delong Oil means that neither AGL nor Pine Hollow have any environmental compliance liability. Mr. Garaventa argues that since the new tenant has accepted the premises in an "as is" condition under a long-term, 20-year lease, AGL has no obligation to make any repairs, so no offset for repair costs is appropriate, nor should Pine Hollow have any obligation to pay for the repairs. (Opp. p. 4, ll. 16-21.)

As to Delong Oil's acceptance of the premises "as is," Mr. Garaventa points to other provisions of the new Delong Oil lease that he contends do not require the landlord to make any repairs to the property, and he contends the documents produced, which are not before the Court, also show AGL is not obligated to compensate the new tenant while the property is being repaired. (Bowles Decl. ¶¶ 5, 6.) Mr. Garaventa also points to an agreement between Delong Oil and Chevron apparently granting a purchase option and right of first refusal to Chevron, presumably of Delong Oil's interest in the lease with AGL. (Bowles Decl. ¶ 7.)

Mr. Garaventa contends the only evidence of environmental violations at the property are an "undated screenshot" Mr. Azari sent the Receiver showing violations and the bid from CGRS for repairs to bring the property into environmental compliance. (Opp. p. 4, ll. 11-13.) (See Garaventa RJN Exh. 1 [11/7/2025 Donell Decl. ISO 2nd Am. Wind Up Mot. ¶ 11; Donell Decl. ¶ 6 and Exh. E.]) Mr. Bowles declares that copies of three permits for operating underground storage tanks were produced in response to Mr. Garaventa's subpoena to Mr. Liu of Delong Oil. Each of the "Underground Storage Tank Permit to Operate" appears to have been issued to Pine Hollow by Contra Costa Health Hazardous Materials Program Certified Unified Program Agency and on their face indicate they are valid from July 1, 2025 through June 30, 2026. (Bowles Decl. ¶ 15 and Exh. D.) Mr. Garaventa also argues that there is no evidence that either Pine Hollow or AGL as the property owner have been cited for any environmental violations.

Much of the rest of Mr. Garaventa's opposition is devoted to his claimed need for more discovery which was the subject of a prior ruling by the Court. (5/15/2026 Order.) The Court's Odyssey electronic files for the case reflect that Mr. Garaventa has a subpoena to Mr. Liu that is subject to a pending motion to compel which is set for a continued hearing on July 27, 2026. Mr. Garaventa contends that Mr. Azari's deposition was not concluded and completed and that he has the right to a continued deposition session with Mr. Azari, and that all of the additional discovery will be relevant to determination of this motion. (Bowles Decl. ¶¶ 10-14, 16, 17.)

C. Mr. Azari's Position

Mr. Azari, as both the other 50% owner of Pine Hollow and now 100% owner of AGL, the former landlord, does not oppose the relief sought in the motion. He and AGL have expressed their willingness to accept the Receiver's proposed offset to the AGL note obligation "[t]o resolve Pine Hollow's obligation to perform pip remediation with minimal cost and effort." (Azari Resp. p. 2, ll. 11-13.) He contests Mr. Garaventa's position that the offset and therefore reduction in the amount owed by AGL on the note is a windfall to AGL because the offset resolves "Pine Hollow's documented

obligation to perform the repairs but not the obligation under federal, state, and local regulations to have the site repaired. AGL will have to assume the responsibility at a *higher* price than the offset, because the bid solicited by the Receiver excluded some categories of remediation work and fails to account for AGL's overhead costs or the impact on the tenant," and "AGL will absorb the increase in costs until the work is performed." (Azari Resp. p. 2, ll. 14-23.) Nevertheless, Mr. Azari states "AGL is willing to suffer these financial consequences as a compromise to facilitate Pine Hollow's winding-up." (Azari Resp. p. 2, ll. 24-25.)

Mr. Azari does not dispute that he may be subject to a continued deposition session, but he argues that none of the discovery Mr. Garaventa contends he needs will have any impact on the issues in the motion. He points to the Court's order after hearing on the Receiver's prior motion to wind up the estate that accepted the Receiver's position that the Pine Hollow lease obligated Pine Hollow to maintain the installation and use of the underground storage tanks in compliance with the applicable environmental laws and that Pine Hollow was contractually obligated to make repairs to comply with that obligation if the tanks were not in compliance. (1/5/2026 OAH.)

D. The Court's Analysis

Notably, Mr. Garaventa does not address or contest the Receiver's interpretation of the terms of the Pine Hollow lease. Mr. Garaventa does not assert that Pine Hollow was not obligated under its lease with AGL to maintain its installation and use of the underground storage tanks or other related equipment in compliance with the applicable environmental laws. (Donell Decl. Exh. B, Section 11.) Mr. Garaventa does not dispute that the lease, including the indemnity and other provisions, make Pine Hollow liable to AGL for any breach of those obligations that occurred during the term of the lease, even after the lease is terminated. (Donell Decl. Exh. B [Sections 7, 8 and 11].) The Court previously concluded in its January 5, 2026 order after hearing that Pine Hollow has those obligations under the lease.

The contested issue on the motion therefore is not the existence of Pine Hollow's obligations under the lease. What is contested is the extent to which noncompliance exists, what repairs would be needed to meet the lease's compliance standard, and what the appropriate cost for those repairs is.

Mr. Garaventa argues that Pine Hollow under Mr. Azari's management had seven years to perform the repairs to the sumps and related equipment. He presents evidence that Pine Hollow had funds reserved for that purpose, but that Mr. Azari failed to make the repairs. (Opp. p. 5, ll. 8-21.) Mr. Garaventa acknowledges that in 2018, Pine Hollow was to reserve \$800,000 to upgrade the property, including \$125,000 to address repairs to "fittings at the fuel/turbine sumps." (Opp. p. 5, ll. 10-11.) The corporate records show that Pine Hollow recognized its obligation to make repairs to the premises beginning in 2018, and that funds were reserved by Pine Hollow in 2019 for that purpose. (Garaventa Decl. ¶¶ 3-6 and Exhs. A-C.) These are acknowledgements, consistent with the Receiver's conclusion, that Pine Hollow as lessee was obligated to make repairs to the sumps and that repairs to the sumps were deemed necessary at that time before litigation commenced.

Pine Hollow itself got a bid from CGRS to perform repairs, and Pine Hollow had CGRS make certain repairs at the property but not the "phase 4" repairs involving the piping and sumps because of the management disputes between the owners. (Garaventa RJN Exh. 1 [11/7/2025 Donell Decl. ¶ 10];

Donell Decl. Exh. D [Azari email].) The fact that Mr. Azari failed to make the repairs in 2018 when the issue first arose, or in 2019 or 2020 when funds were reserved for that purpose, or after obtaining the CGRS 2020 bid, and that there has been a substantial increase in cost of the repairs with the passage of time and failure to correct the problems with the sumps, all may be evidence to support Mr. Garaventa's claims against Mr. Azari for mismanagement of Pine Hollow and breach of Mr. Azari's fiduciary duties to Pine Hollow and Mr. Garaventa as the non-managing shareholder. It may be evidence that Mr. Azari's acts and omissions in the management of Pine Hollow have wrongfully diminished the value of Mr. Garaventa's in Pine Hollow. The evidence does not mean that Pine Hollow did not breach its obligation under the lease to maintain compliance with the environmental laws and therefore that Pine Hollow does not have an outstanding obligation to satisfy under the lease.

Regardless of the terms of AGL's lease with Delong Oil, the new Delong Oil lease does not mean that Pine Hollow did not have obligations to AGL under Pine Hollow's lease with AGL that were breached and that must be satisfied in some manner in order for the Receiver to wind up Pine Hollow and the receivership estate. Further, the fact that the new lessee was willing to accept the premises in their current condition does not mean necessarily that the lack of repairs for problems with the underground tanks did not result in damages to AGL's interest in the property. AGL bargained for Pine Hollow's installation and use of the storage tanks in compliance with environmental laws in the Pine Hollow lease; the evidence is essentially undisputed AGL did not obtain what it negotiated for and that Pine Hollow breached its lease covenant regarding the condition of the tanks and piping.

The Receiver has sufficiently shown his efforts to solicit bids from the limited number of certified companies specializing in this type of work on gas station properties. The bid includes more details regarding the nature and scope of work that CGRS has concluded needs to be done to bring the tanks into compliance, not just "address the fittings at the fuel/turbine sumps." (Supp. Donell Decl. ¶¶ 3, 4; Donell Decl. Exh. E.)

Mr. Garaventa argues the screenshot showing the violation included in the Receiver's prior declaration is undated and is not evidence of a violation of the environmental laws. But the totality of the evidence shows that since 2018, when Pine Hollow recognized and provided a reserve for repairs to the sumps, Pine Hollow has done nothing to make those sump repairs, except in 2020 Pine Hollow obtained a bid for the repairs from the same company which made the current (and only) bid for the work.

The extract from the CERS website Mr. Azari provided the Receiver shows a violation which, though identified as in the category of "administrative," includes in the "violation comments" a directive for "corrective action" and for "immediate[] contact" to be made with a certified contractor to make repairs to the underground storage tank, consistent with the work Pine Hollow conceded was needed in 2018 and with the work described in the CGRS bid:

Violation Program Element: UST Program

Violation Category: Administration/Documentation

Violation Title: Double-Walled Tank Monitoring - After January 1, 1984 and Before July 1, 2004 (USEPATCR 9d) (USEPA Priority)

Violation Description: Failure to continuously monitor the interstitial space of a double-walled tank with an audible and visual alarm system.

Violation Comments: OBSERVATION: Repeated alarm on L4, L5, L15, L17, L18, L24, and L25 showed loss of brine in the 87, 91, Diesel in both STP sump and Fill sump, which indicating a leak in the secondary containment. Secondary containment shall be impervious to the liquid and vapor of the substance contained and constructed to prevent structural weakening as a result of contact with any hazardous substances released from the primary containment. CORRECTIVE ACTION: Immediately contact a properly licensed, trained, and certified contractor to make repairs to the UST system under permit and inspection of the CUPA.

(Garaventa RJN Exh. 1 [11/7/2025 Donell Decl. ¶ 11].) (*See also* 11/7/2025 Donell Decl. ¶ 10 [Azari advised the Receiver the property was "currently in violation" of the state and county guidelines].)

The Donell Declaration cited by Mr. Garaventa from November 2025 shows Pine Hollow's 2020 estimate for work and that by November 2025, the estimate for the work was \$455,000. (Garaventa RJN. Exh. 1 [11/7/2025 Donell Decl. ¶ 10].) The fact that the estimate continues to go up, and that CGRS told the Receiver that further delay would increase the cost, is consistent with the significant increase in the cost estimate between 2020 and 2025.

The CGRS bid issued to the Receiver is itself evidence of the property's violation and need for repairs to meet environmental compliance, an obligation to make repairs acknowledged by Pine Hollow that have been required since 2018. There is no evidence that the piping/sump repairs were made after 2018, and to the contrary, Mr. Garaventa complains that they were not made while Mr. Azari was in charge.

The Court also finds the mechanism of an offset against the AGL note and amounts owed by AGL to Pine Hollow is a reasonable way to satisfy any obligations owed by Pine Hollow to AGL under its lease. It is an expedient way to resolve AGL's claim against Pine Hollow for breach of the lease and will help advance the goal of winding up Pine Hollow and closing the receivership estate. The Court is sensitive that extending the duration of the receivership unnecessarily is detrimental to the parties in light of ongoing receivership administrative expenses that will continue until Pine Hollow is wound up and the case closed.

Conclusion and Ruling

Based on the record before the Court and for the reasons stated above, the Receiver's motion to satisfy Pine Hollow's repair obligation under Section of the Pine Hollow lease with AGL by crediting the sum of \$597,479 to the outstanding balance of the promissory note executed by AGL in favor of Pine Hollow is **GRANTED**, and in connection therewith, the Receiver is directed to (a) confirm in writing with AGL that the offset shall be in full satisfaction of any and all repair obligations of Pine Hollow under its lease with AGL or otherwise, and (b) AGL shall fully release any claim or liability of Pine Hollow for any such repair obligations in exchange for the \$597,479 offset/credit to AGL's liability under the note to Pine Hollow.

3. 10:00 AM CASE NUMBER: MSC19-02043
CASE NAME: GARAVENTA VS AZARI
***HEARING ON MOTION FOR DISCOVERY ORDER COMPELLING COMPLIANCE WITH SUBPOENAS FOR PROD OF DOCS**
FILED BY: GARAVENTA, SILVIO
TENTATIVE RULING:

Pursuant to the stipulation of the parties, this matter was continued to July 27, 2026, 9:00 am, in Department 34, by the Court's Order entered June 10, 2026.

Law & Motion

4. 9:00 AM CASE NUMBER: C22-02535
CASE NAME: JNBUD HADU VS. CESAR MATTOS
***HEARING ON MOTION IN RE: FOR COMPLETE CONSOLIDATION OF CASE NO. P23-01784 WITH CASE NO. C22-02535**
FILED BY: HADU, JNBUD DAWOD
TENTATIVE RULING:

Before the Court is a motion by Plaintiff to fully consolidate a related probate case with this civil action. For the reasons set forth, the motion is **DENIED**.

Background

Plaintiff Jnbud Dawod Hadu ("Hadu" or "Plaintiff") alleges she is the successor in interest of her sister Sabiha Campbell ("Campbell" or "Decedent") who died on July 27, 2022. (Third Amended Complaint ("3AC") ¶ 2.) Plaintiff alleges she is "the intestate heir [of Decedent] whose interest is affected" by the action, "but for" the defendants' allegedly unlawful conduct. (3AC ¶ 3 and Exh. A [Kozicki Decl. ¶¶ 3-7 [on information and belief asserting Decedent died "leaving no will" and Decedent's estate would be awarded to Hadu].)

The general factual background alleged in the 3AC is that Campbell moved to California in approximately 1976 and married John Campbell approximately two years later. (3AC ¶ 4.) John Campbell died in February 2008. (3AC ¶ 5.) Decedent created the Sabiha Campbell 2008 Revocable Trust in May 2008 (the "Trust") designating defendant Cesar Mattos and Christine Mulder, formerly a defendant and now dismissed, as sole beneficiaries of the residue of Campbell's estate. (3AC ¶ 6 and Exh. B; 9/8/2025 Req. for Dism.) Plaintiff alleges In December 2009, Campbell executed a "purported" First Amendment to Trust removing Mulder as a beneficiary. (3AC ¶ 6 and Exh. C.) Defendant Mattos was a handyman employed by Campbell's husband prior to his death. (3AC ¶ 39.)

On or about August 30, 2022, Hadu was notified of Campbell's death when she received a Notification by Trustee of that date, a copy of which is attached to the 3AC as Exhibit D. (3AC ¶¶ 9, 36 and Exh. D.) She filed her initial complaint in this action on November 29, 2022. In her operative 3AC and after dismissal of Mulder, she alleges various violations of the Elder Abuse and Dependent Adult Civil

Protection Act (Welf. & Inst. Code § 15600 *et seq.*) ("Elder Abuse Act") by defendant Mattos. (3AC ¶ 39.)

On October 5, 2023, defendant Mattos filed a petition for probate of lost will and for letters testamentary and to be appointed as executor of Campbell's estate, initiating the case *Estate of Sabiha Campbell*, Case No. P23-01784 ("Probate Case") pending before the Judge Hinton in the probate department of this Court. On February 20, 2024, Amaal Kozicki, Hadu's daughter, filed a contest to the petition, objecting to the appointment of Mattos as executor based on the pending elder abuse claims, and a petition for letters of administration, alleging Campbell died intestate.

Plaintiff Hadu moves for complete consolidation of the Probate Case with this civil action. Mattos opposes the motion. The motion represents that no discovery has been conducted in the probate case to date. It is not clear to the Court whether any discovery has been conducted in this case, except for discovery by the dismissed defendant Mulder, based on a motion to compel discovery responses and a motion to deem matters admitted filed by Mulder in July 2024.

Legal Standards Applicable to Motion for Consolidation

Code of Civil Procedure section 1048 provides, "When actions involving a common question or law or fact are pending before the court, it may order a joint hearing or trial of any or all of the matters in issue in the actions; it may order all the actions consolidated and it may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay." (Code Civ. Proc. § 1048(a).) The decision whether to consolidate actions is left to the sound discretion of the trial court based on its assessment of various factors, including whether there are common issues of fact or law, and even if there are, whether other factors, such as potential prejudice to one or more parties, delay, confusion or other considerations do not warrant consolidation. (*Todd- Stenberg v. Dalkon Shield Claimants Trust* (1996) 48 Cal.App.4th 976, 978-979 ["Code of Civil Procedure section 1048 grants discretion to the trial courts to consolidate actions involving common questions of law or fact. The trial court's decision will not be disturbed on appeal absent a clear showing of abuse of discretion."].)

The Court in *Askew v. Askew* (1994) 22 Cal.App.4th 942 explained: "A motion to consolidate under section 1048 of the Code of Civil Procedure is predicated on the assumption that two or more actions already 'involv[e] a common question of law or fact.' The motion requests the court to exercise its *discretion* to consolidate the actions (the court '*may* order a joint hearing or trial of any or all the matters in issue in the actions,' italics added). Therefore it is possible that actions may be thoroughly 'related' in the sense of having common questions of law or fact, and still not be 'consolidated,' if the trial court, in the sound exercise of its discretion, chooses not to do so." (*Id.* at 964 [italics in original].)

Analysis

Mattos raises two points in opposition to consolidation. First, Mattos points to provisions of the Probate Code that the superior court sitting in probate has exclusive jurisdiction over probate petitions, citing Probate Code sections 800, 17000, and 17200. Second, Mattos disputes that there are common legal or factual issues that warrant complete consolidation of the cases. The Court agrees with Mattos.

Probate Code section 800 states, "The court in proceedings under this code is a court of general jurisdiction and the court, or a judge of the court, has the same power and authority with respect to

the proceedings as otherwise provided by law for a superior court, or a judge of the superior court, including, but not limited to, the matters authorized by Section 128 of the Code of Civil Procedure." Probate Code section 17000 states that "The superior court having jurisdiction over the trust pursuant to this part has exclusive jurisdiction of proceedings concerning the internal affairs of trusts." (Prob. Code § 17000(a).) The Probate Court similarly has jurisdiction over proceedings concerning the internal affairs of a trust under Probate Code section 17200.

While there may be certain factual issues in the Probate Case that may overlap with issues in this case, they arise in a different legal and statutory context. There are other statutory and legal issues within the scope of the Probate Case that the probate court is in a far superior position to address. It is not clear to the Court that a petition to probate a "lost will," to determine the executor, and to issue letters testamentary would be properly before the civil division of the Court, or that the legal and factual issues to take those actions and make those determinations are necessarily common to the elder abuse claims in this case. (See also Local Civ. R. 7.1 ["Matters governed by the Probate Code . . . shall be set for hearing in the department(s) designated by the Presiding Judge. These departments will be known collectively as the Probate Division. All Probate Division cases subject to this rule will be assigned to one judge for all purposes unless otherwise determined by the Presiding Judge for good cause."].)

The Court agrees with Plaintiff that Plaintiff's standing in this civil action may be determined incidentally by the proceedings before the probate court. The Court also agrees that avoiding a duplication of discovery efforts or inconsistent rulings are proper goals, but there are alternative means to achieve those goals other than full consolidation of the Probate Case with this civil action. Though defendant's attorney declares they met and conferred regarding consolidation as directed by the Court at the February 13, 2026 case management conference, defendant's attorney declares they were unable to reach any resolution.

Plaintiff's motion only requests full consolidation of the two actions. Neither party has suggested as an alternative that the Court partially consolidate the cases for purposes of discovery only, so that discovery taken in one action can be used in the other. Alternatively, the parties could so stipulate. The relief sought in the motion is limited to full consolidation, however, and the Court in its discretion finds full consolidation is not appropriate under the circumstances. If either party believes that a stay of this action is necessary and appropriate in light of the pending probate action, the parties are encouraged to confer on a stipulation or else either party can bring such a motion.

5. 9:00 AM CASE NUMBER: C23-01654
CASE NAME: AMERICAN EXPRESS NATIONAL BANK VS. CHRISTINA HARRIS
***HEARING ON MOTION IN RE: VACATE THE CONDITIONAL DISMISSAL AND FOR ENTRY OF JUDGMENT CCP 664.6**
FILED BY: AMERICAN EXPRESS NATIONAL BANK
TENTATIVE RULING:

Plaintiff American Express National Bank ("Plaintiff") filed a Motion to Vacate the Conditional Dismissal and for Entry of Judgment on February 3, 2026 ("Motion to Enforce Settlement"). The Motion to Enforce Settlement was set for hearing on June 22, 2026. The motion is unopposed.

Background

The parties entered into that certain settlement agreement on or about May 3, 2024 (the “Settlement Agreement”), the terms of which included payment by the defendant Christina Harris (“Defendant”) in the amount of \$28,311.33, to be paid in accordance with the terms thereof (the “Payment Terms and Conditions”). See Declaration of Scott D. Dyle filed February 3, 2026 (“Supporting Declaration”), ¶¶3-5 and **Exhibit A** thereto (Settlement Agreement).

Analysis

Defendant was duly served with the motion. The motion is unopposed.

The Settlement Agreement includes a provision that it is enforceable pursuant to Code of Civil Procedure section 664.6 and jurisdiction is reserved to the Court for that purpose. Settlement Agreement, ¶13, Supporting Declaration, **Exhibit A**. As part of the Settlement Agreement, the parties entered into a stipulation for entry of judgment in the event of a default. *Id.* at ¶12.

Defendant defaulted on the Payment Terms and Conditions. See Supporting Declaration, ¶¶2-6. Defendant failed to cure after notice. *Id.* at ¶8 and **Exhibit B** thereto.

After credit for amounts paid, there remains \$16,809.58 due and owing, plus costs of \$575.00, for a total of \$17,384.58. See Supporting Declaration, ¶10.

Disposition

The Court finds and orders as follows:

1. The Court finds that Defendant was duly served with the motion.
2. The Court finds that Defendant is in default of the Settlement Agreement.
3. **Subject to Paragraph 4 below**, the Motion to Enforce Settlement is GRANTED.
 - a. Plaintiff shall have judgment against Defendant in the principal amount of \$16,809.58, plus costs of \$575.00, for a total of \$17,384.58.
 - b. Plaintiff’s submitted form of money judgment against Defendant will be entered by the Court. Any prior dismissal entered herein against the Defendant and/or notice of conditional settlement is hereby set aside in connection with entry of such judgment.
4. Although the Court finds that Defendant was duly served with the motion papers, it is not clear that the papers, *as served*, contained the hearing information (date, time, etc.). THE PARTIES ARE ORDERED TO APPEAR to confirm whether Defendant was duly served with the motion papers which contained notice of the assigned hearing information at the time of service or if separate notice of the assigned hearing date was otherwise subsequently given.

6. 9:00 AM CASE NUMBER: C23-02588
CASE NAME: JAVETA JOHNSON VS. YAQUELIN REYES
***HEARING ON MINOR'S COMPROMISE RE KEITH JORDAN**
FILED BY: JOHNSON, JAVETA
TENTATIVE RULING:

Petitioner Sandra Jordan, the duly appointed guardian ad litem herein on behalf of the claimant Keith Jordan (the "Claimant"), filed a Petition for Approval of Compromise of Claim (Person with a Disability) on or about February 11, 2026 (the "Petition for Approval of Compromise") seeking court approval of the compromise and proposed disposition set forth therein. See Code Civ. Proc. § 372 and Rule 7.950 *et seq.* of the California Rules of Court (CRC). The Petition for Approval of Compromise was set for hearing on June 22, 2025.

Analysis

The Petition for Approval of Compromise is unopposed. The Court has considered the verified Petition for Approval of Compromise.

The proposed terms indicate \$6,000 in attorneys' fees and expenses of \$2,716.60 paid out of the Claimant's share, totaling \$8,716.60 and leaving a balance of \$6,283.40 for the Claimant out of the \$15,000 in settlement funds earmarked for the Claimant. The \$6,000 attorneys' fees represents 40% of Claimant's recovery based on contingency fee arrangement. The Petition for Approval of Compromise indicates that "[t]he money will be held by Sandra Jordan for the benefit of Keith Jordan."

Aside from two issues, the Court concludes the proposed terms are just and reasonable.

The Court is concerned about the 50% split of the total expenses (\$5,433.20) given the non-equal split of the settlement proceeds. The Court is also concerned about what safeguards will be put in place to ensure that the proceeds will be used for benefit of Claimant.

Disposition

The Court finds and rules as follows:

1. MOVING PARTY TO APPEAR to address the issues discussed above.

7. 9:00 AM CASE NUMBER: C24-00425
CASE NAME: M. L. S. BUILDER INC. VS. SEANDAN NG
***MOTION/PETITION TO COMPEL ARBITRATION AND STAY PROCEEDING NOTICE**
FILED BY: M. L. S. BUILDER INC.
TENTATIVE RULING:

Plaintiff moves to compel arbitration. Defendant, Seandan Ng, opposes the motion. Because plaintiff has met its burden to establish the existence of an enforceable arbitration agreement, the motion is **GRANTED**, as discussed below.

Parties are ordered to submit their dispute to arbitration as specified in their agreement. **The Court sets a case management conference on December 15, 2026 at 8:30 a.m. in this Department**

for a status update on arbitration.

I. Background

According to plaintiff M.L.S. Builder Inc.'s First Amended Complaint ("FAC"), parties entered into a construction agreement on October 2, 2021, by which plaintiff agreed to furnish certain labor, services, equipment and materials for a work of improvement on defendant's property for an estimated contract price of \$468,000, plus those additional sums that the parties would thereafter determine as the price for extra labor, services, equipment and materials. Plaintiff alleges defendant has failed to pay over \$100,000, and also refuses to allow plaintiff to complete the work. These events led to the filing of this suit on February 16, 2024 by plaintiff, in order to preserve its statutory right to foreclose on its mechanic's lien, pursuant to Civ. Code § 8460 *et seq.* (Declaration of George M. Lee in Support of Motion, ¶13.) The First Amended Complaint was filed on June 14, 2024.

Plaintiff filed a motion to compel arbitration, but withdrew the motion due to being a suspended corporation at the time. Plaintiff filed a motion to stay in order to restore its corporate status. Now having received its certificate of revivor (see Declaration of Fook Hong Sham in Support of Motion, ¶11, Exhibit E), plaintiff renews its request for an order compelling arbitration and staying these proceedings.

Defendant opposes the motion on the grounds that he did not agree to arbitration.

II. Discussion

"A petition to compel arbitration is in essence a suit in equity to compel specific performance of a contract." (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 411, citations omitted; Code Civ. Proc., § 1281 ["A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract."].) "Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence" and that the dispute is covered by the agreement. (*Rosenthal, supra*, at p. 413-414.) The burden then shifts to the resisting party to prove by a preponderance of evidence a ground for denial. (*Ibid.*)

Here, it is undisputed that defendant did not *sign* an arbitration agreement. There was also no line on the arbitration agreement for defendant's signature. It is undisputed that defendant *did* sign the three-page construction contract to which plaintiff asserts the arbitration agreement was attached and incorporated therein.

Plaintiff presents evidence that "Appendix C" was sent to defendant on October 3, 2021, along with the three-page contract. (See Declaration of Fook Hong Sham in Support of Motion, ¶¶4, 8-9, Exhibits A, C, and D.) The three-page document clearly states, "Attachment [sic] constitute part of contract." Below that, the following appendices are listed as:

Appendix A: Conditional/Unconditional/progressive/final release Form

Appendix B: Approval stamped MCE (Massoudi Consulting Engineers Inc.) drawings.

Appendix C: Dispute Resolution.

Plaintiff also presents evidence that defendant reviewed the three-page contract, suggesting he also received the other attachments to the email from plaintiff.

Defendant does not address or dispute that he received the email sent on October 3, 2021 with all attachments. This is tantamount to a concession that he did, in fact, receive the attachments along with the three-page contract. When, on October 4th, defendant returned a signature on the three-page agreement, it was reasonable to understand this as defendant's consent to the entirety of the contract, including the specifically listed appendices.

Accordingly, by a preponderance of the evidence presented, the Court finds defendant did assent to the Appendix C. While the Court notes there was a "condition precedent" involving attempts to mediate, the condition was satisfied by the letter sent in March of 2024. (See Declaration of Fook Hong Sham in Support of Motion, Exhibit B.) Aside from denying its existence, defendant does not posit any other reasons why the Court should not enforce the agreement. The motion must therefore be granted.

8. 9:00 AM CASE NUMBER: C24-01538
CASE NAME: FULLER PROPERTIES, LLC VS. SEQUOIA EQUITIES, INC.
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT (ADVANCED FROM 6/8/26)
FILED BY: COIT FINANCIAL GROUP, LLC
TENTATIVE RULING:

Before the Court is a demurrer by defendant COIT Financial Group, LLC to the second amended complaint. For the reasons set forth, the general demurrer by COIT to the second amended complaint in its entirety is **SUSTAINED, with leave to amend.**

Background

Plaintiffs Fuller Properties, LLC and approximately 21 other entities allege they are the owners of multifamily apartment buildings which are managed by defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. (Sec. Am. Compl. ("2AC") ¶¶ 4, 38, 40, 43.) Plaintiffs allege each of them entered into written Management and Leasing Agreements ("Management Agreement"), a form of which is attached to the 2AC as Exhibit A. (2AC ¶ 43 and Exh. A.) The form of the Management Agreement shows defendant Sequoia Equities, Incorporated as the other party to the agreement.

Defendant COIT Financial Group, LLC was added to the case by a Doe amendment. (2AC ¶ 36.) Plaintiffs do not allege they had any direct financial dealings or transactions with COIT. They allege in paragraph 34, on information and belief, that COIT is "the financial sponsor and ultimate parent entity" of Sequoia and Alder Creek. (2AC ¶¶ 34, 41.) They then allege on information and belief that COIT, Sequoia and Alder Creek "operate as a single enterprise" and list a series of allegations on which their information and belief is based, which the Court will address in more detail below. (2AC ¶ 35.) They also make generic allegations on information and belief regarding each defendant being an agent, employee, representative or similar status of the other defendants. (2AC ¶ 37.) They allege a "unity of interest" among COIT, Sequoia, and Alder Creek. (2AC ¶ 42.) They then allege COIT is liable for the breach of the Management Agreements based on their "alter ego and single enterprise allegations." (2AC ¶ 70.) These allegations are the only specific allegations naming COIT in the 2AC; they allege no acts or omissions of basis for liability of COIT for any of the claims made in the 2AC

other than its status as the alter ego of Sequoia and Alder Creek and/or its operation as part of a "single enterprise."

Some additional procedural history is relevant. Defendants Sequoia and Alder Creek filed a demurrer to the original complaint. Before the demurrer was heard, Plaintiffs filed a first amended complaint ("FAC"), and Sequoia and Alder Creek filed a motion for judgment on the pleadings as to the FAC which was scheduled for hearing on December 8, 2025.

The Court issued a tentative ruling which was uncontested and became the order of the Court. (Not. of Rul. filed 12/12/2025.) That ruling granted the motion for judgment on the pleadings as to the FAC in its entirety as to Alder Creek, claims that, not unlike those against COIT, were based entirely on an alter ego/unity of interest theory. (*Id.*) The Court denied Sequoia's motion as to the negligent interference with prospective business advantage and accounting causes of action but granted the motion as to the other seven causes of action subject to the motion. Plaintiffs dropped some of the 11 causes of action pled in the FAC and filed the current seven cause of action 2AC.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (*See also* Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra*, 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (*See also Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.) A demurrer must dispose of an entire cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.' [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co., supra*, 19 Cal.4th at 39.)

COIT's Request for Judicial Notice

The Court **GRANTS** COIT's request for take judicial notice of the 2AC, the Notice of Ruling on the prior motion for judgment on the pleadings in this case, and the Statement of Information for COIT filed with the California Secretary of State's Office on December 2, 2025, subject to the applicable

limitations on judicial notice as the Court does not take judicial notice of the truth or interpretation of the content of the documents where reasonably disputable. (RJN ¶¶ 1, 5, 6; Davidson Decl. Exhs. 1, 5, 6; Evid. Code §§ 452(c) and (d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same]; *Sosinsky v. Grant* (1992) 6 Cal. App. 4th 1548, 1569 [judicial notice of prior order or judgment].)

The Court **DENIES** COIT's request for judicial notice of the pleadings and register of actions of the related case, *Ross et al. v. Sequoia Equities, Inc., et al.*, Case No. C23-02401 ("Class Action") as irrelevant to determination of the demurrer. (Davidson Decl. Exhs. 2, 3, and 4; *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [judicial notice denied where "the requests present no issue for which judicial notice of these items is necessary, helpful, or relevant"].)

Analysis

COIT filed general and special demurrers for uncertainty as to the 2AC in its entirety. COIT also generally demurs and specially demurs for uncertainty to four of the seven causes of action of the 2AC: the first C/A (breach of fiduciary duty), second C/A (fraud and intentional misrepresentation), fourth C/A (negligent interference with prospective economic advantage), and fifth C/A (broker's constructive fraud).

A. Demurrer to Entire 2AC

The California Supreme Court set forth the two general elements necessary to allege liability based on piercing the corporate veil under an alter ego theory. "There is no litmus test to determine when the corporate veil will be pierced; rather the result will depend on the circumstances of each particular case. There are, nevertheless, two general requirements: '(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow.' [Citation omitted.] And 'only a difference in wording is used in stating the same concept where the entity ought to be held liable is another corporation instead of an individual.' [Citation omitted.]" (*Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300.) (*See also Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415 415.) The Court also commented, "An employee who seeks to hold a parent corporation liable for the acts or omissions of its subsidiary on the theory that the two corporate entities constitute a single employer has a heavy burden to meet under both California and federal law. Corporate entities are presumed to have separate existences, and the corporate form will be disregarded only when the ends of justice require this result." (*Mesler, supra*, 39 Cal.3d at 300.)

COIT relies on *Tran v. Farmers Group, Inc.* (2002) 104 Cal.App.4th 1202 as setting for the standards for pleading alter ego or a single enterprise. That case involved an interinsurance exchange and reversed an order for summary adjudication for the defendant companies that were the attorneys-in-fact for the interinsurance exchange based in part on an alter ego or single enterprise theory. (*Id.* at 1218-1219 ["An interinsurance exchange is not a corporation, but we see no reason why the distinction between the exchange and its attorney-in-fact may not be disregarded in cases meeting the requirements of the 'alter ego' or 'single enterprise' doctrine authorizing disregard of the corporate

entity. [Citations omitted.] . . . [¶] Two conditions are generally required for application of the doctrine to two related corporations: (1) such a unity of interest and ownership that the separate corporate personalities are merged, so that one corporation is a mere adjunct of another or the two companies form a single enterprise; and (2) an inequitable result if the acts in question are treated as those of one corporation alone. [Citations omitted.] Whether these conditions have been satisfied is a question of fact. [Citations omitted.]")

" 'Among the factors to be considered in applying the [alter ego] doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other.' [Citations omitted.] Other factors which have been described in the case law include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. [Citations omitted.] No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. [Citation omitted.]" (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal. App. 4th 523, 538-539 [cited in *Tran, supra*, 104 Cal.App.4th at 1219].)

COIT contends that the facts Plaintiffs have alleged are insufficient to support claims against COIT based on Plaintiffs' alter ego or "single enterprise" theories. Plaintiffs allege COIT is the "ultimate parent" of Sequoia and Alder Creek, which does not mean that COIT is not a separate entity; to the contrary, the allegation implicitly admits COIT has an independent legal existence. (2AC ¶ 34.) Plaintiffs allege COIT is the "financial sponsor" of Sequoia and Alder Creek (2AC ¶ 34); it is not clear what the term "financial sponsor" means, and Plaintiffs do not allege any additional facts elucidating the term. (See also 2AC ¶ 41 [on information and belief, "COIT is the financial sponsor and ultimate parent entity of" Sequoia and Alder].)

Paragraph 35 sets forth the most specific allegations against COIT. In that paragraph, Plaintiffs allege on information and belief that COIT operates as part of a "single enterprise" with Sequoia and Alder Creek based on the following facts: (1) Ken Coit appears in public filings as "control person" for Sequoia and COIT, such that there is "overlapping leadership" between the two entities; (2) unspecified "COIT controlled investment entities" use Sequoia's address in SEC filings and investor disclosures; and (3) "COIT sponsors the investment structures that hold the properties, while Sequoia manages them, creating financial interdependence and a symbiotic financial loop where COIT dictates the financial policies such as the bulk processing of deposits that Sequoia implements to maximize returns for COIT's investors." (2AC ¶ 35.) From these three facts, Plaintiffs make the conclusory allegation that "adherence to the fiction of COIT's separate existence would sanction a fraud, promote injustice, and permit the abuse of the corporate privilege." (2AC ¶ 35.) (*See also* 2AC ¶ 42 [conclusory allegation that "There is a unity of interest" between Sequoia, Alder Creek, and COIT].)

It is not clear how Ken Coit can be the "control person" for Sequoia, when Plaintiffs later allege Bill Brooks and Melinda Pederson are the individuals who control the operations of both Alder Creek and Sequoia. (2AC ¶¶ 29-31.) They allege that Mr. Brooks and Ms. Pederson, affiliated with Sequoia and Alder Creek according to the 2AC allegations, in effect were responsible for the wrongful conduct allegedly committed by Sequoia, but they do not allege that either of those individuals are designated officers of COIT. (2AC ¶¶ 29-31, 43, 60, 62.) Further, the allegations do not allege any facts showing

that an inequitable result would occur if the separate corporate existence of COIT were recognized. (*Compare to* 2AC ¶¶ 31, 32.)

The 2AC allegations impliedly indicate that there are distinct investment entities that COIT somehow "sponsors," perhaps meaning organizes, promotes, or funds, that invest in and own properties and that those separate investment entities use Sequoia, perhaps a second-tier subsidiary of COIT, to manage the investment properties. Use of Sequoia's address in SEC filings and investor disclosures for separate investment entities COIT "sponsors" is consistent with Sequoia acting as the management company for those investment properties. It is not clear how the fact that separate investment entities "sponsored" by COIT do business with Sequoia by having Sequoia manage COIT's investment entities means that there is a single enterprise such that recognizing COIT's separate existence in this case works a fraud or injustice against the Plaintiffs or would sanction an abuse of the corporate privilege. The Court does not find that these allegations are sufficient to state claims against COIT. (*See, e.g., Leek v. Cooper* (2011) 194 Cal.App.4th 399, 411, 415 ["[the plaintiff must "allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor. [Citation omitted.]" (Emphasis added.)].)

Plaintiffs argue that they have amended the allegations in the 2AC as the Court required in connection with the motion for judgment on the pleadings and the lack of factual allegations to support alter ego liability of Alder Creek, the only basis Plaintiffs have alleged for making claims against that entity. They argue the allegations against COIT "specifically entangle Coit with Alder Creek and Sequoia" (Opp. p. 6, ll. 24-25.) For the reasons explained above, any allegations of an alleged relationship between COIT and Alder Creek and Sequoia are not enough to allege an "entanglement" sufficient to subject COIT to alter ego liability for the acts and omissions alleged against Sequoia and Alder Creek.

B. General and Special Demurrers to the 1st C/A, 2nd, 4th, and 5th C/As

The 2AC makes no specific allegations of any acts or omissions of COIT in relation to the underlying wrongful conduct alleged in the 2AC. COIT is only mentioned by name in paragraphs 34-36, 41, 42, and 70. The deficiencies in the allegations of paragraphs 34 and 35 to state a claim against COIT as an alter ego or a single enterprise with Sequoia and Alder Creek are addressed at length above. Paragraph 36 merely explains the basis for naming COIT as a Doe defendant. Paragraphs 41, 42, and 70 repeat conclusory allegations of COIT's status. (2AC ¶¶ 41 [on information and belief, financial sponsor and ultimate parent], 42 [unity of interest with Sequoia and Alder Creek], and 70 [COIT liable for breach of contract "pursuant to alter ego and single enterprise allegations].)

The allegations are insufficient to allege a basis for imposing alter ego or single enterprise liability on COIT for the reasons stated above, and the 2AC in its entirety therefore fails to state facts sufficient to state causes of action against COIT. The Court therefore does not need to reach the general and special demurrers to the four specific causes of action challenged in COIT's demurrer.

Conclusion and Ruling

COIT's general demurrer to the 2AC in its entirety is **SUSTAINED, with leave to amend.**

9. 9:00 AM CASE NUMBER: C24-01538
CASE NAME: FULLER PROPERTIES, LLC VS. SEQUOIA EQUITIES, INC.
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT (CONTINUED FROM 2/23/26)
FILED BY: SEQUOIA EQUITIES, INC.
TENTATIVE RULING:

Before the Court is a demurrer by defendants Sequoia Equities, Inc. and Alder Creek Management to the second amended complaint. For the reasons set forth, the Court rules as set forth below.

Background

Plaintiffs Fuller Properties, LLC and approximately 21 other entities allege they are the owners of multifamily apartment buildings which are managed by defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. (Sec. Am. Compl. ("2AC") ¶¶ 4, 38, 40, 43.) Plaintiffs allege each of them entered into written Management and Leasing Agreements, a form of which is attached to the 2AC as Exhibit A. (2AC ¶ 43 and Exh. A.) Plaintiffs allege that there is a unity of interest between Sequoia and Alder Creek and/or that Sequoia was acting as agent for Alder Creek in the acts and omissions alleged in the 2AC, as well as that Sequoia and Alder Creek, along with another defendant COIT Financial Group, LLC, operate as a single enterprise as the basis for their claims against Alder Creek. (2AC ¶¶ 27-35, 39-42.) Plaintiffs generally allege Sequoia and Alder Creek mismanaged the properties owned by Plaintiffs, causing them damage.

In response to the filing of Plaintiffs' original complaint, the Court's register of actions shows Sequoia and Alder filed a demurrer that was not heard by the Court, as Plaintiffs filed a first amended complaint ("FAC"), and the hearing on the demurrer to the original complaint was vacated. Sequoia and Alder Creek then filed a motion for judgment on the pleadings as to the FAC, which alleged eleven causes of action against them. The motion sought judgment on nine of the 11 causes of action. The motion was granted in part, with leave to amend, and denied in part. (12/8/2025 Min. Order; Def. RJN ¶ 5 and Davidson Decl. Exh. 5 [Not. of Ruling filed 12/12/2025].) Plaintiffs then filed the current 2AC alleging seven causes of action.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (See also Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra*, 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (See also *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.) A demurrer must dispose of an entire cause of action. (*Daniels v. Select*

Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.' [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co., supra*, 19 Cal.4th at 39.)

Defendants' Request for Judicial Notice

The Court **GRANTS** the requests for judicial notice of the 2AC and the Notice of Ruling on the prior motion for judgment on the pleadings, subject to the applicable limitations on judicial notice as the Court does not take judicial notice of the truth or interpretation of the content of the documents where reasonably disputable. (RJN ¶¶ 1, 5; Davidson Decl. Exhs. 1, 5; Evid. Code § 452(d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same]; *Sosinsky v. Grant* (1992) 6 Cal. App. 4th 1548, 1569 [judicial notice of prior order or judgment].)

The Court **DENIES** demurring defendants' request for judicial notice of the pleadings and register of actions of the related case, *Ross et al. v. Sequoia Equities, Inc., et al.*, Case No. C23-02401 (Class Action) and the statement of information for a different defendant, COIT Financial Group, LLC, as irrelevant to determination of the demurrer by Sequoia and Alder Creek. (Davidson Decl. Exhs. 2, 3, 4, and 6; *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [judicial notice denied where "the requests present no issue for which judicial notice of these items is necessary, helpful, or relevant"].)

Procedural Objection to Demurrer Based on Insufficient Notice of Hearing

The original hearing on the demurrer by Sequoia and Alder was set for February 23, 2026, less than 16 court days plus time for electronic service, as the demurrer was filed and served on January 21, 2026. Plaintiffs nevertheless provided a full opposition on the merits of the demurrer. In any event, the Court continued the hearing on the demurrer *sua sponte* to April 27, 2026 and advanced the June 8, 2026 hearing on the COIT demurrer (being heard concurrently). The parties then stipulated to continue the April 27, 2026 hearing, and the hearing was reset to this date, June 22, 2026. Any notice deficiency has been cured under the circumstances, and the Court finds no prejudice to Plaintiffs at this point from any defect in the original notice for the February 23, 2026 hearing.

Analysis

Alder Creek demurs to the 2AC as a whole for failure to allege sufficient facts against Alder Creek, arguing that the alter ego allegations made against it are insufficient. Sequoia and Alder Creek also make general demurrers and special demurrers for uncertainty to the first C/A (breach of fiduciary duty), second C/A (fraud and intentional misrepresentation), fourth C/A (negligent interference with

prospective business advantage), and fifth C/A (broker's constructive fraud).

A. Alder Creek's Demurrer to the 2AC in Its Entirety

The California Supreme Court set forth the two general elements necessary to allege liability based on piercing the corporate veil under an alter ego theory. "There is no litmus test to determine when the corporate veil will be pierced; rather the result will depend on the circumstances of each particular case. There are, nevertheless, two general requirements: '(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow.' [Citation omitted.] And 'only a difference in wording is used in stating the same concept where the entity ought to be held liable is another corporation instead of an individual.' [Citation omitted.]" (*Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300.) (*See also Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415 415.) The Court also commented, "An employee who seeks to hold a parent corporation liable for the acts or omissions of its subsidiary on the theory that the two corporate entities constitute a single employer has a heavy burden to meet under both California and federal law. Corporate entities are presumed to have separate existences, and the corporate form will be disregarded only when the ends of justice require this result." (*Mesler, supra*, 39 Cal.3d at 300.)

COIT relies on *Tran v. Farmers Group, Inc.* (2002) 104 Cal.App.4th 1202 as setting for the standards for pleading alter ego or a single enterprise. That case involved an interinsurance exchange and reversed an order for summary adjudication for the defendant companies that were the attorneys-in-fact for the interinsurance exchange based in part on an alter ego or single enterprise theory. (*Id.* at 1218-1219 ["An interinsurance exchange is not a corporation, but we see no reason why the distinction between the exchange and its attorney-in-fact may not be disregarded in cases meeting the requirements of the 'alter ego' or 'single enterprise' doctrine authorizing disregard of the corporate entity. [Citations omitted.] . . . [¶] Two conditions are generally required for application of the doctrine to two related corporations: (1) such a unity of interest and ownership that the separate corporate personalities are merged, so that one corporation is a mere adjunct of another or the two companies form a single enterprise; and (2) an inequitable result if the acts in question are treated as those of one corporation alone. [Citations omitted.] Whether these conditions have been satisfied is a question of fact. [Citations omitted.]"].)

" 'Among the factors to be considered in applying the [alter ego] doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other.' [Citations omitted.] Other factors which have been described in the case law include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. [Citations omitted.] No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. [Citation omitted.]" (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal. App. 4th 523, 538-539.)

Plaintiffs allege Alder Creek is a real estate entity licensed in California and "a multi-dwelling residential apartment, investor, owner, developer and property management company." (2AC ¶ 28.) Plaintiffs allege Alder Creek is the parent of Sequoia. (2AC ¶ 28.) Plaintiffs allege Sequoia and Alder

Creek "collectively" do business as Sequoia, alleging Melinda Pederson is a licensed California real estate broker who is a "Designated Officer" for both Sequoia and Alder Creek. (2AC ¶ 29.) The 2AC then defines "Sequoia" as used thereafter in the 2AC as "Sequoia." (2AC ¶ 29.) The 2AC does not allege that Alder Creek is a party to the Sequoia Management Agreements. (2AC ¶ 43 and Exh. A.)

Plaintiffs make a series of allegations on which they base their contention that Alder Creek is responsible or liable for the acts and omissions of Sequoia because of a "unity of interest and ownership" between the entities. (2AC ¶¶ 30-33.) The list of facts alleged to support the existence of a unity of interest and ownership are (1) the officers and directors of Sequoia and Alder Creek are the same based on Secretary of State filings; (2) "the same individuals direct the specific business operations, policies, and decisions of both entities simultaneously"; (3) Alder Creek "exercises complete dominion and control over" Sequoia's "daily operations" such that Sequoia has no "mind" or "will" of its own; (4) on information and belief, Sequoia and Alder Creek "commingle funds and assets, share offices and employees," and that Alder Creek "treats Sequoia's assets as its own"; (5) on information and belief, Sequoia is a "mere shell or instrumentality" through which Alder Creek conducts its property management business; (6) Sequoia and Alder Creek operate at the same business location and use "the exact same administrative staff and computer software to process tenant payments, rendering their assets indistinguishable in the ordinary course of business"; and (7) Bill Brooks (President and CEO) and Melinda Pederson executed the Management Agreements and "simultaneously held executive officer positions" at both entities. (2AC ¶¶ 30, 31.) As noted, most of the facts alleged are not alleged on information and belief.

Plaintiffs have also added allegations regarding why an "inequitable result" would follow if the separate corporate existence of the entities is not disregarded. (*Mesler, supra*, 39 Cal.3d at 300.) Specifically, they allege Alder Creek "directed the wrongful conduct described herein because their policies included the bulk processing of tenant security deposits, knowingly overcharging of Plaintiffs for management fees, charging Plaintiffs fees and expenses that were not authorized under the [Management] Agreements such as travel and lodging for Defendants' employees, providing unauthorized housing for Defendants' employees at Plaintiffs' properties with no security deposit or rent payments, fabricating receipts which included charging Plaintiffs for the amounts stated on work orders or estimates after the work was performed resulting in both the overcharging and under charging of Plaintiffs and Plaintiffs' tenants, and using Plaintiffs' rental proceeds to cover Defendants' corporate expenses. These acts were all corporate directives established by Bill Brooks and Melinda Pedersen acting as dual executives" of Alder Creek and Sequoia "as controllers of the entire enterprise." (2AC ¶ 31.) Notably, these facts are not alleged on information and belief.

Plaintiffs also allege inequity if the corporate veil between Alder Creek and Sequoia is not pierced because they allege on information and belief that Sequoia is undercapitalized for the business it conducts. (2AC ¶ 32.) They allege that if the acts alleged in the 2AC are treated as those of Sequoia alone, Plaintiffs are at risk of not being able to recover fully for their damages. (2AC ¶ 32.) In the alternative, Plaintiffs also allege, on information and belief, that Sequoia's conduct alleged in the 2AC was in the capacity as Alder Creek's agent "within the course and scope of such agency and employment and with the permission and consent" of Alder Creek, making Alder Creek vicariously liable for Sequoia's acts and omissions. (2AC ¶ 33.)

Plaintiffs' allegations in the 2AC must be taken as true in ruling on a demurrer no matter how improbable and regardless of whether Plaintiffs can ultimately prove the facts alleged. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604; *Universal By-Products, Inc. v. City of Modesto* (1974) 43 Cal.App.3d 145, 151.) The facts alleged in the 2AC are sufficient to allege grounds for piercing the corporate veil as to Alder Creek as Sequoia's parent. Plaintiffs have alleged facts that would support a finding of unity of interest and ownership and lack of separateness of the two corporations. They have also alleged facts, if proven, that Alder Creek directed or controlled the allegedly wrongful conduct of Sequoia alleged in the 2AC, that it would be inequitable to enforce the fiction of the entities' separate existence under the circumstances, and that the separate corporate form should be disregarded because the ends of justice so require. There are sufficient facts alleged which provide a basis for those allegations made based on Plaintiffs' information and belief from the parent status of Alder Creek, the overlapping identical responsible officers' management and control over both entities, and Alder Creek's alleged imposition and direction of many corporate policies and practices of Sequoia regarding the property management functions and services alleged to be wrongful.

The 2AC has adequately alleged alter ego or single enterprise as to Alder Creek and Sequoia, and as set forth above, the 2AC defines "Sequoia" to include both entities. (2AC ¶¶ 29-32.) Plaintiffs allege that Mr. Brooks and Ms. Pederson were acting for both Sequoia and Alder Creek. (2AC ¶ 31.) Plaintiffs alternatively allege, with the foundation of the preceding allegations, that Sequoia is acting as agent for Alder Creek and have vicarious liability for Sequoia's acts and omissions. (2AC ¶ 33.) To the extent the first, second, fourth, and fifth causes of action are adequately stated against Sequoia, they are also adequately stated against Alder Creek in light of these allegations. To the extent any of the claims fail against Sequoia, they also fail against Alder Creek.

A. Breach of Fiduciary Duty – 1st C/A

In their FAC, Plaintiffs alleged that under the Management Agreements, Sequoia (and Alder) agreed to act as fiduciaries in managing the properties owned by Plaintiffs under that agreement. The FAC alleged a number of ways that the defendants allegedly failed to comply with their duties under the Management Agreements. The Court granted Sequoia's and Alder's motion for judgment on the pleadings as to this cause of action, with leave to amend. (Not. of Rul. filed 12/12/2025.)

The Court concluded that the allegations of the FAC in the breach of fiduciary duty cause of action were grounded in the Management Agreements and defendants' alleged incompetent or negligent performance of those agreements, specifically that defendants failed to exercise "ordinary care and diligence" in performing their obligations. (Not. of Rul. filed 12/12/2025.) The Court also concluded that based on the allegations in the FAC founded on negligent performance of duties (fiduciary or not) undertaken by defendants under the Management Agreements and financial loss as Plaintiffs' resulting injury, the economic loss rule barred this cause of action.

Plaintiffs have now attempted to correct those deficiencies in the 2AC to state a breach of fiduciary duty cause of action founded on an independent intentional tort. Demurring parties do not contest that as agents and managers of Plaintiffs' properties, they owed fiduciary duties to their principals. The FAC alleges that in violation of those duties, including the duty of loyalty, demurring parties engaged in intentional, tortious conduct by theft and misappropriation of Plaintiffs' rents for their

own business purposes and by creation of false vendor receipts and invoices. (2AC ¶¶ 31 [alleging defendants policies included "fabricating receipts which included charging Plaintiffs for the amounts stated on work orders or estimates after the work was performed resulting in both the over charging and under charging of Plaintiffs and Plaintiffs' tenants, and using Plaintiffs' rental proceeds to cover Defendants' corporate expenses."] and 55 [alleging the defendants "breached their duty of loyalty by engaging in self-dealing through the fabrication of vendor receipts and misappropriation of Plaintiffs' funds for Defendants' own corporate use. This conduct falls outside the scope of the agency contemplated by the Agreements and constitutes a distinct tortious injury separate from the economic losses caused by the breach of contract."].)

1. What Constitutes Theft

Plaintiffs allege "affirmative, intentional misconduct and theft." (2AC ¶ 55.) The Court rejects the argument that at least part of the conduct alleged does not constitute "theft." (MPA ISO Dem. p. 6, ll. 23-27 [arguing theft "is the taking of personal property from the owner, not retaining money on the basis of a misrepresentation, which is fraud," citing *People v. Walther* (1968) 263 Cal.App.2d 310, 313, 316 322-3234, in which the defendant was convicted of grand theft under Penal Code section 484].) Obtaining property by fraud is a form of theft under Penal Code section 484. (Pen. Code § 484(a) [a person who commits theft includes a person "who shall fraudulently appropriate property which has been entrusted to him or her, or who shall knowingly and designedly, by any false or fraudulent representation or pretense, defraud any other person of money, labor or real or personal property."].)

2. No Violation of Sham Pleading Doctrine

Demurring parties raise the "sham pleading" doctrine, arguing that Plaintiffs have changed the factual basis of their breach of fiduciary duty claim in their 2AC. (*Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 425-427.) "Under the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. [Citation omitted.] . . . [¶] The sham pleading doctrine is not ' "intended to prevent honest complainants from correcting erroneous allegations . . . or to prevent correction of ambiguous facts." ' [Citation omitted.] Instead, it is intended to enable courts ' "to prevent an abuse of process." ' [Citation omitted.]" (*Id.* at 426 [emphasis added].) "A pleader may not attempt to breathe life into a complaint by omitting relevant facts which made his previous complaint defective. [Citation omitted.] . . . 'A litigant should not be allowed to abuse the privilege of amendment. If the amended pleading is only a sham, and it is apparent that no cause of action can truthfully be stated, the court should disregard that pleading.' " (*Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 713.) (*See also Nolte v. Cedars-Sinai Medical Center* (2015) 236 Cal.App.4th 1401, 1406 [" 'A plaintiff may not avoid a demurrer by pleading facts or positions in an amended complaint that contradict the facts pleaded in the original complaint or by suppressing facts which prove the pleaded facts false.' [Citation omitted.]"]].)

The Court does not find that the current allegations of intentional misconduct directly contradict the prior allegations so as to invoke the sham pleading doctrine. To the extent Plaintiffs have omitted facts to support negligence, they offer an explanation for doing so, specifically to amend in light of the

deficiencies noted in the Court's prior ruling.

3. Intentional Tort Outside Economic Loss Rule

They have alleged intentional tortious conduct in violation of a tort duty independent of the contract, which is an exception to the economic loss rule as stated in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1. The independent tort Plaintiffs allege is not unlike the fraudulent repair documents that the Court held gave rise to an independent tort that could be pursued by the plaintiff in *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979. The economic loss rule does not bar the breach of fiduciary duty cause of action as now alleged in the 2AC.

Demurring parties argue this cause of action is also barred by the economic loss doctrine, citing *Sheen v. Wells Fargo Bank* (2022) 12 Cal.5th 905. In *Sheen*, a borrower sued his mortgage lender for negligence. In that context, the Court addressed the economic loss rule, which the Court held barred the negligence claim. The Court explained, In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage. [Citations omitted.] [¶] The economic loss rule has been applied in various contexts. First, it carries force when courts are concerned about imposing ' "liability in an indeterminate amount for an indeterminate time to an indeterminate class." ' [Citation omitted.] [¶] In another recurring set of circumstances, the rule functions to bar claims in negligence for pure economic losses in deference to a contract between litigating parties. [Citations omitted.] . . . The Restatement states this form of the economic loss rule thusly: '[T]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties.' [Citation omitted.]" (*Id.* at 922-923.)

The California Supreme Court recently addressed the economic loss rule in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 in the context of the intentional tort of fraudulent concealment. The Court pointed to another description of the rule in the *Robinson* case: "[A]s *Robinson* phrased the rule: '[t]he economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise.' [Citation omitted.]" (*Id.* at 20 [quoting *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988].) The Court in *Rattagan* explains that tort and contract obligations differ. "A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty. [¶] [T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37 [emphasis added].) *Rattagan* and *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 held claims grounded in intentional misrepresentation or fraudulent concealment were not barred by the economic loss rule, to the extent the fraud or concealment violates an independent legal duty and is not based solely on a breach of the contract terms. (*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson* decision] and 42-45 [holding economic loss rule does not bar claim for fraudulent concealment, not just claim for fraud based on affirmative misrepresentations].)

In the 2AC, Plaintiffs allege the basis for their breach of fiduciary duty claim is intentional misconduct, consisting of misappropriation of Plaintiffs' funds entrusted to them for handling as Plaintiffs' agents

and creation of fabricated vendor receipts. (2AC ¶¶ 31, 55.) These allegations, which the Court accepts as true on demurrer, take the claim outside the bar of the economic loss rule.

4. Pleading Fraud with Specificity

Demurring parties argue that the basis of the claim for the breach of fiduciary duty cause of action is fraud which must be pled with specificity, and the 2AC does not meet the specificity standards of the case law. Fraud must be pled with specificity: the plaintiff is required to plead the "who, what, when, and where" of the alleged misrepresentation. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645) "A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.' " (*Id.* [quoting *Tarmann v. State Farm Mutual Auto. Ins. Co.* (1991) 2 Cal. App. 4th 153, 157].) The elements of fraud are " '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.)

Plaintiffs identify Mr. Brooks and Ms. Pederson as the persons responsible for the corporate policies which they allege resulted in the fabrication of the false vendor invoices. (2AC ¶ 31.) They allege the policies included "fabricating receipts which included charging Plaintiffs for the amounts stated on work orders or estimates after the work was performed resulting in both the over charging and under charging of Plaintiffs and Plaintiffs' tenants, and using Plaintiffs' rental proceeds to cover Defendants' corporate expenses." (2AC ¶ 31.) Plaintiffs reiterate their allegations of fabricated vendor receipts and self-dealing by use of Plaintiffs' funds for defendants' corporate expenses in paragraph 55. Collectively, these facts allege the who, what, and how of the fraudulent conduct on which the cause of action is based. As to the when, the sample Management Agreement, Exhibit A to the 2AC, is dated January 1, 2022, and this action commenced on June 7, 2024, setting a time frame for the misappropriation and issuance of fabricated invoices based on the commencement of defendants' management. Given the number of Plaintiffs each with its own Management Agreement and the number of individual transactions presumably involved, and the fact that defendants as the entities that maintain all the financial records pertinent to the use of Plaintiffs' funds and the vendor invoices, the Court finds the allegations are sufficiently specific under the circumstances to state this cause of action, considering the rules of pleading that allow more leniency in pleading when the facts are more likely in the possession of the defendant rather than the plaintiff even in the context of a claim with a heightened pleading standard. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute on other grounds [for fraud claims, "Less specificity is required when 'it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy,' [citation omitted]; '[e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party . . . ' [Citation omitted.]"; *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal. App. 4th 1356, 1384 [addressing fraudulent nondisclosure claim, stating " 'considerations of practicality enter in' when multiple plaintiffs and defendants are involved. [Citation omitted.]".) The 2AC with these additional allegations fairly apprises demurring defendants of the factual basis for the claim and meets the

specificity requirement under the circumstances. (*Randall v. Ditech Financial, LLC, supra*, 23 Cal.App.5th at 810.)

B. Fraud and Intentional Misrepresentation – 2nd C/A

The Court has set forth above the general standards for pleading fraud, as well as the applicable law regarding the economic loss rule.

Plaintiffs' fraud theory remains one of promissory fraud, promise made without intent to perform. " 'Promissory fraud' is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. [Citations omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.) To state a claim for fraud based on a false promise the complaint must allege more than the promises and the defendant's failure to perform. Plaintiffs must allege additional facts and circumstances that support an inference of a promise made without intent to perform, instead of an agreement honestly made that was not performed. (*Tarmann, supra*, 2 Cal.App.4th at 159 ["Simply put, making a promise with an honest but unreasonable intent to perform is wholly different from making one with no intent to perform and, therefore, does not constitute a false promise."].) (See also *Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 708 ["In so differentiating a false promise from the great bulk of broken promises, the allegations necessary to show contemporaneous intention not to perform should be clear, specific, and unequivocal. [Citations omitted.]".].)

Plaintiffs allege the representations made by demurring defendants were made when Mr. Brooks and Ms. Pederson signed the Management Agreements, and their fraudulent intent was formed at the moment they signed as Sequoia, through the signatories, "did not intend to perform the promises of 'fiduciary management' or 'first class' service at the time of signing." (2AC ¶¶ 60, 62.) As in the FAC, the representations they allege later proved to be false are covenants made by Sequoia in the Management Agreements. (2AC ¶ 61.) They allege defendants "knew" the representations were false when made or made them with reckless disregard for their truth or falsity. (2AC ¶ 64.) They allege generally that Plaintiffs relied on the "representations" and suffered damages. (2AC ¶ 65.)

Plaintiffs have added allegations in paragraph 63 to try to allege facts to show that the defendants had an intention not to perform the promises made in the Management Agreement when they made the promises, not just that defendants breached their promises after the agreements were made. They allege three facts they contend show a lack of intent to perform at signing: (1) defendants were already using a "systematic practice of fabricating vendor receipts and marking up vendor invoices" in their portfolio of managed properties such that they knew they intended use "this same fraudulent billing scheme" for Plaintiffs' properties, so they did not intend to perform their promise of providing accurate accountings; (2) they knew they were using a shared or insufficient staffing model so they did not intend to perform their promise to provide adequate staffing; and (3) they "concealed" their use of internal management software with "bulk processing of tenant security deposit deductions without regard to statutory requirements," so they did not intend to perform their promise to comply with applicable statutory law. (2AC ¶ 63.)

Again, the Court must accept the allegations as true in ruling on a demurrer. While the Court is not

entirely persuaded that items 2 of 3 above are sufficient to allege false promise, the Court finds that item 1 above alleges defendants' intent to utilize a fraudulent invoicing system in effect when defendants signed the Management Agreements that the demurring defendants knew "fabricated" vendor receipts. The allegations regarding item 1 are enough to support a claim of false promise. (*Daniels, supra*, 246 Cal.App.4th at 1167 and *PH II, supra*, 33 Cal.App.4th at 1682-1683 [to be sustained, demurrer must dispose of an entire cause of action].) They meet the specificity standard for fraud for the reasons stated above with regard to the breach of fiduciary duty cause of action. They allege an intentional tort independent of the Management Agreements because they allege defendants were utilizing a "fraudulent billing scheme" to fabricate vendor receipts and invoices, and a breach of obligation independent of mere negligent performance of a contract term, such that the fraud and intentional misrepresentation cause of action is not barred by the economic loss rule. (*Rattagan, supra*, 17 Cal.5th 1; *Robinson, supra*, 34 Cal.4th 979.)

C. Negligent Interference with Prospective Business Advantage – 4th C/A

The Court addressed the elements of this cause of action in its ruling on the motion for judgment on the pleadings as to the FAC. The elements of a claim for interference with prospective economic advantage are: " '(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional [or negligent] acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant. [Citations.] [Citation.] [Citation.]' [Citation, some internal quotation marks omitted.]" (*Crown Imports, LLC v. Superior Court* (2014) 223 Cal.App.4th 1395, 1404.) To state the cause of action, there must be "an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff." (*Id.*)

The Court in *Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, overruled on other grounds by *Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1148, cited by demurring parties stated the third element of a negligent interference cause of action specifically as "(3) the defendant's knowledge (actual or construed) that the relationship would be disrupted if the defendant failed to act with reasonable care." (*Id.* at 1005.) This is consistent with *Crown Imports* which recognized that "[t]he difference between intentional interference and negligent interference with prospective economic advantage relates to the defendant's intent." (*Crown Imports, supra*, 223 Cal.App.4th at 1404 fn. 10.)

1. Ruling on Prior Demurrer

While the Court previously granted Sequoia's motion for judgment on the pleadings as to Plaintiffs' intentional interference with contract claim, the Court denied Sequoia's motion for judgment on the pleadings as to the negligent interference cause of action; but Sequoia is correct that the Court did not address the application of the *Mintz* decision to the negligent interference claim, only the intentional interference claim. (Not. of Rul. filed 12/12/2025.) The Court granted Alder Creek's motion for judgment on the pleadings on this claim.

The Court is cognizant of the apparent conflict between provisions of Code of Civil Procedure section 430.41 addressing successive demurrers and Code of Civil Procedure section 430.80, which provides

that a party does not waive a challenge to a pleading on the ground it does not state facts sufficient to constitute a cause of action. (Code Civ. Proc. § 430.80(a).) The Court finds the latter statute more specific, and therefore controlling, such that Sequoia and Alder Creek are not precluded from challenging this cause of action as legally deficient on the ground that Plaintiffs have not alleged, and cannot allege, facts sufficient to state this cause of action.

2. Specific Incidents and Acts Designed to Disrupt

Demurring defendants argue that Plaintiffs fail to cite any specific incidents of defendants' conduct causing an end to a tenancy. They cite no authority that such a specific, essentially evidentiary allegation, is necessary to state the claim. (*C.A., supra*, 53 Cal.4th at 872 [allegations of ultimate fact sufficient in a complaint].)

Defendants argue that Plaintiffs have not pled that defendants' actions were " 'designed to disrupt the relationship.' " (MPA ISO Dem. p. 12, ll. 3-6.) The statement of the elements of the cause of action in *Crown Imports* from which this language was taken was made in the context of intentional interference with contract. Here, Plaintiffs allege negligent interference. They allege (1) defendants' conduct could not be performed without a direct impact on Plaintiffs' landlord-tenant relationship, (2) "the adverse effect on Plaintiffs' business," i.e., its property rental business, "was clearly foreseeable," and (3) defendants acted "after the probability of damage was known or should have been known" to the defendants. (2AC ¶ 81, 82.) The Court concludes these facts adequately allege the defendants knowledge of the relationship Plaintiffs had with existing and future tenants and "the relationship would be disrupted if defendant failed to act with reasonable care." (*Redfearn, supra*, 20 Cal.App.5th at 1005.)

3. Stranger to the Contract

Demurring parties argue that under *Redfearn*, "one who is not a stranger to a contract cannot be liable in tort for interfering with the performance of the contract" and that the principle applies to a claim for negligent interference with prospective business advantage as well as intentional interference. (*Redfearn, supra*, 20 Cal.App.5th at 995, fn. 1.) As the Court also stated in its prior ruling on the motion for judgment on the pleadings, " '[A] stranger to a contract may be liable in tort for intentionally interfering with the performance of the contract.' [Citation omitted.]" (*Mintz v. Blue Cross of California* (2009) 172 Cal.App.4th 1594, 1603 [quoting *Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126 cited by Plaintiffs].) Subsequent cases hold the phrase means "one who is not a party to the contract or an agent of a party to the contract." [Citation omitted.]" (*Caliber Paving Co., Inc. v. Rexford Industrial Realty & Management, Inc.* (2020) 54 Cal.App.5th 175, 184.) However, "it is settled that 'corporate agents and employees acting for and on behalf of a corporation cannot be held liable for inducing a breach of the corporation's contract.' [Citation omitted.]" (*Mintz, supra*, 172 Cal.App.4th at 1604.)

Plaintiffs allege that they executed Management Agreements with Sequoia to manage their rental properties. Unquestionably, they allege Sequoia was acting as their agent in dealing with existing and prospective tenants. Based on the specific facts noted above, Plaintiffs allege that Alder Creek and Sequoia are alter egos, that they are a single enterprise essentially directed by the same individuals (Mr. Brooks and Ms. Pederson), and that they are agents and employees of one another acting in the

scope of their agency or employment. (2AC ¶ 38.) Under *Redfearn, Mintz*, and other authorities, the demurring defendants have demonstrated they are not strangers to the contracts, specifically Plaintiffs' existing or prospective tenancy relationships, as they are alleged to be acting as agents for Plaintiffs in maintaining existing tenancies and developing prospective tenancies. Plaintiffs have not provided any contrary legal authority that would make the defendants as their agents liable for negligent interference with prospective tenant relationships with Plaintiffs as their principals.

The Court cannot discern how Plaintiffs can amend this cause of action to state a claim against their own agents, given the authorities cited. Plaintiffs have not provided any explanation of how this cause of action could be amended to state a claim against Sequoia or Alder Creek. When a court sustains a demurrer, the Petitioner bears the burden of demonstrating that the pleading can be amended by providing specific facts showing the manner in which it can be amended to state a legally viable claim. (*PGA West Residential Assn. v. Hulven International, Inc.* (2017) 14 Cal.App.5th 156, 189.) (*See also Medina v. Safe-Guard Products, Internat., Inc.* (2008) 164 Cal.App.4th 105, 112 fn. 8.)

D. Constructive Fraud by Broker – 5th C/A

Constructive fraud requires the plaintiff to demonstrate: "(1) a fiduciary relationship, (2) nondisclosure, (3) intent to deceive, and (4) reliance and resulting injury. Constructive fraud is any breach of duty that, without fraudulent intent, gains an advantage to the person at fault by misleading another to his prejudice. [Citations omitted.] Like an action for fraud, constructive fraud must be pled with specificity. [Citation omitted.]" (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1249-1250.) Because constructive fraud is a form of fraud, the requirement of pleading with specificity applies.

Plaintiffs allege demurring defendants breached their duty to disclose "all material facts regarding the management" of Plaintiffs' properties when they failed to disclose at the time of contracting or in the reports defendants provided (1) defendants' internal staffing models, and (2) defendants' accounting practices, including specifically the use of "bulk processing software for security deposits" and "shared or insufficient staffing model rather than dedicated staff." (2AC ¶ 86.) They allege defendants held and gained a financial advantage over Plaintiffs by receiving management fees for "first class" management services while having significantly reduced overhead and labor costs, and by which defendants provided Plaintiffs "substandard service and exposure to legal liability" while demurring defendants obtained an "artificial and unfair profit margin." (2AC ¶¶ 86, 88.) They allege demurring defendants concealed this information from Plaintiffs and misled them. (2AC ¶ 88.)

The Court finds these allegations sufficiently specific to plead the constructive fraud claim. Plaintiffs have previously identified the individuals (Mr. Brooks and Ms. Pederson) who are allegedly responsible for the defendants' policies, including these accounting practices and staffing challenged in this cause of action. (2AC ¶ 31.) In this claim, they have identified what material information they claim was not disclosed and/or concealed from them, either at the time the contract was made or in the reports defendants provide Plaintiffs. Alleging the material facts were concealed when defendants made their reports provides an implied allegation that the material facts should have been disclosed when demurring defendants made the reports and were not, which is sufficient in this context, particularly since the demurring defendants are the parties who alleged concealed the material information and made the reports omitting the material information. (*Committee on*

Children's Television, supra, 35 Cal.3d at 216; *Alfaro, supra*, (2009) 171 Cal. App. 4th at 1384 [also noting with respect to a fraud claim based on concealment or nondisclosure, " '[I]t is harder to apply this rule to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where" it never happened?' "'].) The 2AC fairly apprises demurring defendants of the factual basis for the claim and meets the specificity requirement under the circumstances. (*Randall v. Ditech Financial, LLC, supra*, 23 Cal.App.5th at 810.)

The argument that Plaintiffs could not have relied because the contract was made in August 2021, and they allege the misconduct occurred beginning in the last two years (2AC ¶ 78) does not consider the allegation, liberally construed, that defendants failed to disclose these material facts "in their reports," presumably reports made during the two years preceding the lawsuit. (2AC ¶ 86.)

Demurring defendants argue that they are using "commercially available software used throughout the real estate industry," and that as a result, they owed no duty to disclose that information. (MPA ISO Dem. p. 13, ll. 22-28.) The facts argued are outside the pleadings; in ruling on a demurrer, the Court's "judicial experience" does not extend to such facts.

E. Demurrers for Uncertainty

Demurring parties have made special demurrers for uncertainty to the first, second, fourth and fifth causes of action as well as their general demurrers. Demurrers for uncertainty are disfavored. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135; *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 [" '[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend.' [Citations omitted.]"]). Defendants have not argued why any of the claims are uncertain; they have argued in their general demurrers that some of the claims do not meet the specificity standard for stating fraud claims, which the Court has addressed and rejected above.

Conclusion and Ruling

For the reasons set forth above, Alder Creek's demurrer to the 2AC in its entirety is **OVERRULED**. Sequoia's and Alder Creek's general demurrers to the first, second, and fifth causes of action are **OVERRULED**; their general demurrer to the fourth cause of action is **SUSTAINED, WITHOUT LEAVE TO AMEND**. The special demurrers to the first, second, and fifth causes of action are **OVERRULED**, and to the fourth cause of action the special demurrer is **MOOT** based on the ruling sustaining the general demurrer.

10. 9:00 AM CASE NUMBER: C24-01921

CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION

***HEARING ON MOTION IN RE: SEAL**

FILED BY: DAVID T. SEENO

TENTATIVE RULING:

This matter is continued, sua sponte by the Court, to July 27, 2026, 9:00 am, in Department 34.

11. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT OF DAVID T. SEENO
FILED BY:
TENTATIVE RULING:

Based on the stipulation of the parties, this matter is continued to July 27, 2026, 9:00 am, in Department 34, pursuant to the Court's Order signed June 17, 2026.

12. 9:00 AM CASE NUMBER: C25-01037
CASE NAME: ROBERT LOPEZ VS. MARILYNE CASTILLO
HEARING ON DEMURRER TO: ANSWER OF ROBERT LOPEZ
FILED BY:

TENTATIVE RULING:

The Court was advised by the moving party that the demurrer is being withdrawn. Accordingly, the matter is dropped from calendar and the hearing dated vacated.

13. 9:00 AM CASE NUMBER: C25-03561
CASE NAME: RENE ZAMORA VS. MONTEREY VENTURE LP
***HEARING ON MOTION IN RE: TO STRIKE PLTFS CLAIMS**
FILED BY: MONTEREY VENTURE LP
TENTATIVE RULING:

Defendant Monterey Venture LP ("Defendant") filed a Demurrer on February 6, 2026 (the "Demurrer") to the Complaint filed by plaintiffs Rene Zamora and Ana Chavez ("Plaintiffs"). Defendant also filed a separate Motion to Strike on February 6, 2026 (the "Motion to Strike"). The Demurrer and Motion to Strike were both set for hearing on June 22, 2026.

Background

Defendant's Demurrer contends that the second and sixth causes of action fail to state facts sufficient to constitute causes of action. Defendant also demurs to the first and fourth causes of action as duplicative of other pled causes of action.

Furthermore, Defendant moves to strike certain portions of the Complaint, the allegations regarding punitive damages.

No opposition has been filed to the Demurrer or Motion to Strike.

Analysis

The requests for judicial notice submitted by the moving party in support of the Demurrer and Motion

to Strike are GRANTED.

The limited role of the demurrer is to test the legal sufficiency of the allegations in a complaint. *Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading. *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994. A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. *Id.* For purposes of demurrer, all facts pleaded in a complaint are assumed to be true, but the court does not assume the truth of conclusions of law. *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967. "Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." *Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227. However, leave to amend should not be granted where, in all probability, amendment would be futile. *Vaillette v. Fireman's Fund Ins. Co.* (1993) 18 Cal.App.4th 680, 685.

First Cause of Action (TORTIOUS BREACH OF THE IMPLIED WARRANTY OF HABITABILITY)

Defendant contends that the first cause of action for "Tortious Breach of the Implied Warranty of Habitability" is duplicative of the third cause of action and does not set out a valid separate cause of action "because California does not recognize a separate tort claim for breach of the implied warranty of habitability."

Defendant is mistaken. Under California law, tenant may state a cause of action in tort against a landlord for damages resulting from a breach of the implied warranty of habitability. *Stoiber v. Honeychuck* (1980) 101 Cal. App. 3d 903, 918-919 ("**...a tenant may state a cause of action in tort against his landlord for damages resulting from a breach of the implied warranty of habitability.**") (emphasis added). The portions of *Stoiber* cited by Defendant address other nuances and do not state otherwise. See *id.* at 928-930. The elements of an affirmative claim for tortious breach of a warranty of habitability are: (1) the existence of a material defective condition affecting the premises' habitability; (2) notice to the landlord of the condition within a reasonable time after the tenant's discovery of the condition; (3) the landlord was given a reasonable time to correct the deficiency; and (4) resulting damages. *Erlach v. Sierra Asset Servicing, LLC* (2014) 226 Cal.App.4th 1281, 1297.). The Complaint sufficiently alleges these elements.

The Demurrer to this cause of action is OVERRULED.

Fourth Cause of Action [BREACH OF CONTRACT - CAL. CIVIL CODE §3300 et seq.]

Defendant argues that the fourth cause of action for breach of contract is duplicative of the third cause of action for contractual breach of the implied warranty of habitability and should be dismissed because both the third and fourth causes of action arise from the same lease agreement and allege breach based on the same conduct, i.e. Defendant's alleged failure to maintain the premises in habitable condition.

This content is without merit. Breaches of distinct contractual obligations may properly be pleaded as separate counts. *Digerati Holdings, LLC v. Young Money Entertainment, LLC* (2011) 194 Cal. App. 4th 873, 885, fn. 4 (breach of the implied covenant often is pleaded as a separate count even though it is necessarily a breach of contract).

The Demurrer to this cause of action is OVERRULED.

Second Cause of Action [BREACH OF COVENANT OF QUIET ENJOYMENT]

Defendant contends that the second cause of action for breach of quiet enjoyment fails to allege facts sufficient to support the claim and should be dismissed.

The elements of a breach of the covenant of quiet enjoyment are: (1) a lease agreement between plaintiff and defendant; (2) the absence of language contrary to the implied covenant that tenant shall have quiet enjoyment and possession; (3) an act or omission of the landlord, or anyone claiming under the landlord, which substantially interferes with a tenant's right to use and enjoy the premises for purposes contemplated; and (4) an applicable remedy. *Andrews v. Mobile Aire Estates* (2005) 125 Cal.App.4th 578, 588-591.

The Complaint plainly sets out specific allegations regarding acts or omissions of the landlord Defendant that are alleged to have substantially interfered with the Plaintiffs' use and enjoyment of the premises. See e.g. Complaint, ¶¶11-18, 29 and 31.

The Demurrer to this cause of action is **OVERRRULED**.

Sixth Causes of Action [RICHMOND TENANT ANTI-HARASSMENT ORDINANCE]

Defendant argues that the sixth cause of action alleging that Defendants have violated the Tenant Anti-Harassment Ordinance by failing to make repairs to the subject premises fails because "...the mere failure to make repairs does not constitute 'harassment' within the meaning of the ordinance."

No authority is cited for this proposition other than the language of the Ordinance itself, which Defendant's own brief recognizes contemplates that failure to perform repair can constitute harassment if done in bad faith. See Tenant Anti-Harassment Ordinance, § 11.103.060, Municipal Code of the City of Richmond ("No landlord, and no agent or employee of the landlord, shall do any of the following in bad faith: ... [¶] (b) Fail to perform repairs...").

As noted above, there are detailed and lengthy allegations regarding the failure to perform repairs, including allegations regarding Defendant's persistence in such failure over time and despite notices of violation issued by the city. See e.g. Complaint, ¶¶11-18. These allegations are more than adequate to allege bad faith.

The Demurrer to this cause of action is **OVERRRULED**.

Punitive Damages

Defendant seeks to strike certain portions of the Complaint praying for punitive damages, contending that the allegations regarding punitive damages are insufficient.

Any party, within the time allowed to respond to a pleading, may serve and file a notice of motion to strike the whole or any part of the pleading. Code Civ. Proc. § 435(b)(1); Cal. Rules of Court, Rule 3.1322(b). The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of the pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. Code Civ. Proc. § 436(a)-(b); *Stafford v. Schultz* (1954) 42 Cal.2d 767, 782. An "irrelevant" matter includes allegations not essential to the claim or defense, as well as allegations "neither pertinent to nor supported by an otherwise sufficient claim or defense." Code Civ. Proc. § 431.10(b).

To support punitive damages, the complaint must allege the ultimate facts of the defendant's oppression, fraud or malice. *Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 316.

“Malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” Civ. Code § 3294. “*Animus malus* or evil motive, then, is the central element of the malice which justifies an exemplary award.” *G. D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 30. “Oppression” means subjecting a person to cruel and unjust hardship in conscious disregard of his rights. *Monge v. Superior Court* (1986) 176 Cal.App.3d 503, 511.

In addition to the express allegations in the Complaint that Defendant acted with “malice, oppression, and/or fraud,” specific conduct is alleged that a trier of fact could well find amounted to conscious disregard of the Plaintiffs’ rights and/or a willful and conscious disregard of the rights or safety of Plaintiffs. See e.g. Complaint, ¶¶11-18 and 22. These allegations and the other allegations of the Complaint are sufficient to support the prayer for punitive and exemplary damages.

Disposition

The Court finds and orders as follows:

1. The Demurrer is OVERRULED.
2. The Motion to Strike is DENIED.
3. The Court shall issue the order after hearing.

14. 9:00 AM CASE NUMBER: C25-03561
CASE NAME: RENE ZAMORA VS. MONTEREY VENTURE LP
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: MONTEREY VENTURE LP
TENTATIVE RULING:

See Line 13 above.

15. 9:00 AM CASE NUMBER: L22-01760
CASE NAME: RALPH BARRIENTOS VS. KIMBERLY E. TOWER
***HEARING ON MOTION IN RE: MOTION FOR ATTORNEY’S FEES; MEMORANDUM OF POINTS AND AUTHORITIES**
FILED BY: BARRIENTOS, RALPH
TENTATIVE RULING:

Defendant and cross-complainant Kimberly E. Tower (“Landlord”) filed a Motion for Attorney’s Fees on January 30, 2026 (the “Motion for Attorney’s Fees”). The Motion for Attorney’s Fees was set for hearing on April 28, 2026 in Department 14.

Thereafter, the parties stipulated to the resetting of the motion for hearing in Department 34, the department that heard the trial. The Court approved that stipulation and the matter was reset for June 22, 2026 in Department 34.

The motion is opposed.

Background

Following a multi-day court trial, the Court entered judgment in favor of the Landlord and found the Landlord to be the prevailing party. See Decision after Trial issued January 8, 2026 (the “Decision after Trial”); see also, Judgment entered March 13, 2026 (the “Judgment”).

The Motion for Attorney’s Fees is supported by the Declaration of Tanner D. Brink filed January 30, 2026 (the “Supporting Declaration”).

The Supporting Declaration includes a summary of the legal services rendered and expenses incurred in the litigation of the matter. See Supporting Declaration, ¶10 and **Exhibit G** thereto. The fees sought total \$127,500.00, representing a total of 212.5 hours. *Id.*

No costs are sought by the motion. However, a separate memorandum of costs was filed by the Landlord on January 28, 2026, seeking an award of \$7,014.71.

Opposition papers were filed on April 15, 2026 by plaintiff and cross-defendant Ralph Barrientos (the “Tenant”).

Analysis

The Landlord seeks an award of attorney’s fees pursuant to the governing lease agreement. See Supporting Declaration, ¶10 and **Exhibit A** thereto (the “Lease Agreement”).

Paragraph 36 of the Lease Agreement contains a prevailing party attorneys’ fees provision:

36. ATTORNEY FEES: In any action or proceeding arising out of this Agreement, the prevailing party between Landlord and Tenant shall be entitled to reasonable attorney fees and costs, collectively not to exceed \$1,000 (or \$20,000.00 _____), except as provided in paragraph 35A.

See Lease Agreement, ¶36, Supporting Declaration, **Exhibit A**. This provision provides for recovery of reasonable attorneys fees and is capped at \$20,000 “except as provided in paragraph 35A.” *Id.*

Paragraph 35A is part of the Mediation provision of the Lease Agreement and provides:

35. MEDIATION:
A. Consistent with paragraphs B and C below, Landlord and Tenant agree to mediate any dispute or claim arising between them out of this Agreement, or any resulting transaction, before resorting to court action. Mediation fees, if any, shall be divided equally among the parties involved. If, for any dispute or claim to which this paragraph applies, any party commences an action without first attempting to resolve the matter through mediation, or refuses to mediate after a request has been made, then that party shall not be entitled to recover attorney fees, even if they would otherwise be available to that party in any such action.

See Lease Agreement, ¶35, Supporting Declaration, **Exhibit A**. This provision essentially requires mediation as a prerequisite to an award of attorneys’ fees in certain circumstances. This case was mediated prior to trial.

The Court finds that at least \$20,000 of the incurred attorneys’ fees and costs are recoverable by the Landlord pursuant to the Lease Agreement and that such fees are reasonable and the costs recoverable (as further addressed below).

Notwithstanding the \$20,000 cap, the Landlord has also sought the balance of the incurred attorneys’ fees pursuant to Code of Civil Procedure section 2033.420. See Motion for Attorney’s Fees, p. 3 *et seq.*

Under certain circumstances, a party to a civil action that fails to admit a pretrial request for admission without a reasonable basis can be ordered to pay to the propounding party the reasonable expenses incurred, including attorneys’ fees and costs, in proving the matter covered by the request, often called the “costs of proof.” Code Civ. Proc. § 2033.420(a); see CJER, *California Judges Benchbook: Civil Proceedings—Discovery* (2025) (“CJER Civ. Pro.—Discovery”), § 21.38.

An award of costs of proof involves the weighing of several factors, including:

1. Whether the matter denied was of substantial importance;
2. Whether there was a reasonable basis for the denial;
3. Whether the party making the denial knew or should have known at the time that the requested matter was of substantial importance and was true;
4. Whether there were other good reasons for the denial; and
5. Whether the responding party made a good faith effort to resolve the matter.

See Code Civ. Proc. § 2033.420(a); see also CJER Civ. Pro.—Discovery, §§ 21.38-21.39.

As the moving papers outline in detail, the Tenant denied a litany of requests for admissions (the “RFAs”) propounded on the Tenant before trial. See Motion for Attorney’s Fees, p. 3 *et seq.*; see also Supporting Declaration, ¶4 and **Exhibits B and C** thereto.

The denied RFAs went to the heart of the dispute over which the Landlord and Tenant, the condition of the leased premises and the damages and modifications caused by the Tenant.

For example, RFA No. 11 (“Admit You painted the Property without prior written consent of Propounding Party.”) was denied by the Tenant. The evidence was clear and convincing that Tenant arranged for his handyman to repaint portions of the interior of the premises. See Decision after Trial, p. 12. The issue of the extent of the interior painting by the Tenant was most certainly of substantial importance during the trial and one of the largest items of recovery found by the Court. See Decision after Trial, p. 13.

Similarly, RFA No. 38 (“Admit You buried plumbing lines underground at the Property without prior written consent of Propounding Party.”) was denied by the Tenant. The evidence at trial was overwhelming that plumbing lines were installed underground by Tenant. See Decision after Trial, p. 11-12 (“The alterations also included the running of electrical conduit and/or plumbing lines underground. The running of plumbing and electrical lines required penetrations by drilling through a retaining wall and other areas of the Premises. The extensive alterations were detailed in testimony and the exhibits admitted in evidence, including the Landlord’s inspection report.”). That such lines were buried underground was plain and obvious, including based on numerous photographs.

While no doubt some admissions were made by Tenant regarding some modifications made and other matters that were the subject of the Landlord’s RFAs, the Court concludes that a substantial portion of the costs of proof of the premises condition issues are properly recoverable by the Landlord under Section 2033.420.

These are all matters that the Tenant knew or should have known at the time that the matters were of substantial importance and were true. The Tenant has not shown that he had a good faith belief that he would prevail on those matters at trial.

However, the Court also concludes that this does not entitle the Landlord to the full \$127,500.00 in fees claimed. It is likewise evident that a not insignificant portion of the fees are attributable to the defense of the Tenant’s claims, including factual and legal issues regarding the handling of the security deposit, issues which Landlord has not shown are implicated by the denied RFAs. Indeed, there were substantial issues tried relating to the Tenant’s security deposit that have nothing to do with the subject matter of any of the denied RFAs referenced by the Landlord.

The costs of proof must also be limited in time as well. Costs of proof can be awarded only for the period after the opposing denied the request for admissions. *Yoon v. CAM IX Trust* (2021) 60 Cal.App.5th 388, 395; see CJER Civ. Pro.—Discovery, § 21.38.

The Tenant's responses were dated February 27, 2023 and verified March 2, 2023. See Supporting Declaration, **Exhibit C**. The claimed fees before the March 3, 2023 time entry total 27.2 hours (\$16,320.00). Excluding those fees, the total claimed fees are \$111,180.00. Any further costs attributable to mediation after that point must also be excluded. The claimed costs relating to the second mediation in April 2024 total 8.6 hours (\$5,160.00). \$111,180.00 less \$5,160.00 equals \$106,020.00.

The Court is familiar with the record at trial, the evidence proffered and the arguments made, including as addressed at length in the Court's Decision after Trial. Having considered those matters and the totality of the evidence before the Court, the Court concludes that at least one-third of the \$106,020.00 in claimed fees constitutes reasonable expenses incurred in proving the matters covered by the denied RFAs and are properly recoverable costs of proof. That amount totals \$35,340.00. This determination is informed by the nature and extent of the evidence received at trial and the Court's familiarity with that evidence.

Having reviewed all of the claimed attorneys' fees and the description of the work to which the claimed fees related (see Supporting Declaration, **Exhibit G**), the Court finds the **\$35,340.00** attorneys' fees to be reasonable, including in light of the legal services rendered and the nature and scope of the issues in the case. The trial court has broad authority to determine the amount of a reasonable fee. *Holguin v. Dish Network LLC* (2014) 229 Cal.App.4th 1310, 1329.

The Court further finds that the **\$7,014.71** in claimed costs were reasonable and necessary to the conduct of the litigation. No motion to tax or strike any of the costs was made by the Tenant and no specific objections have been made as to any particular cost item in the opposition papers to the pending motion.

Disposition

The Court finds and orders as follows:

1. The Motion for Attorney's Fees is GRANTED.
2. The Landlord is awarded and shall recover from Tenant attorneys' fees in the sum of **\$35,340.00**.
3. The Landlord is awarded and shall recover from Tenant costs of suit in the sum of **\$7,014.71**.
4. The Court will issue the order after hearing.

16. 9:00 AM CASE NUMBER: L25-05639
CASE NAME: OPORTUN, INC VS. KAROL PEREZ MORA
HEARING IN RE: MOTION TO SET ASIDE DEFAULT JUDGMENT
FILED BY:

TENTATIVE RULING:

Defendant Karol Perez Mora ("Defendant") filed a Motion to Set Aside Default and Default Judgment on February 10, 2026 ("Motion to Set Aside Default"). The Motion to Set Aside Default was set for hearing on June 22, 2026.

Background

Plaintiff Oportun, Inc (“Plaintiff”) filed its Complaint on May 22, 2025.

A Proof of Service of Summons was filed September 17, 2025 (the “9/17/25 POSS”). The 9/17/25 POSS reflects service on Defendant by substitute service on “Jose Salazar, CO-RESIDENT” on August 28, 2025, at 12:45 pm, at “2761 GRANT ST APT 35, CONCORD, CA 94520.” 9/17/25 POSS, ¶¶3-5. The service was done by a registered process server. *Id.* at ¶7.

A default was entered against Defendant on November 10, 2025 (the “Default”). Thereafter, a request for entry of a default judgment was submitted to the Court. A default judgment was entered on December 23, 2025 (the “Default Judgment”).

Shortly thereafter, in February 2026, Defendant filed the Motion to Set Aside Default. The motion is supported by Defendant’s Declaration filed February 10, 2026 (the “Supporting Declaration”).

A Proof of Service was filed February 10, 2026 reflecting service of the Motion to Set Aside Default on Plaintiff’s counsel. The Court notes, however, that the service date was February 6, 2026. This indicates to the Court that the copy served would not have had the hearing date and time on the caption, as was written in by the clerk of the Court at the time of filing on or about February 10, 2026.

No opposition has been filed.

Analysis

1. Defendant Demonstrates That Service Was Defective.

Defendant argues that the service was defective.

The service was done by a registered process server. 9/17/25 POSS, ¶7. This raises a presumption of valid service. See *Floveyor Internat., Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 795 (the filing of a proof of service creates a rebuttable presumption that the service was proper).

The Court find that the proffered evidence rebuts that presumption.

Defendant indicates that she does not live with anyone named “Jose Salazar” and did not learn of this lawsuit until the week of January 6, 2026 when she received documents in the mail from the Court. See Supporting Declaration, ¶¶3-6. She contends that she only lives with her husband who is 46 years old (as opposed to the person sub-served who is described as being 30 years old). *Id.* at ¶7; and *c.f.* 9/17/25 POSS, ¶15.b.

2. The Default And Entry Of Judgment Thereon Are Void.

The Court has authority to vacate a void judgment pursuant to Code of Civil Procedure section 473(d). See Code Civ. Proc. § 473(d) (“The court ... may, on motion of either party after notice to the other party, set aside any void judgment or order.”); see also *Sindler v. Brennan* (2003) 105 Cal.App.4th 1350, 1353 [a judgment void on its face because rendered when the court lacked personal or subject matter jurisdiction or exceeded its jurisdiction in granting relief which the court had no power to grant is subject to collateral attack at any time and may be set aside under Code of Civil Procedure section 473, subdivision (d)].

In light of the Court’s finding that service was defective, as addressed above, the Court concludes that the Default and the Default Judgment entered thereon are void.

3. Defendant Did Not Have Actual Notice Of The Pending Lawsuit.

Code of Civil Procedure section 473.5 allows a party to bring a motion to set aside a default entered against the party where “service of a summons has not resulted in actual notice to a party in time to defend the action.” Code Civ. Proc. § 473.5(a). The motion “shall be accompanied by an affidavit showing under oath that the party’s lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect.” *Id.* § 473.5(b).

Independent of the validity of the service, Defendant has demonstrated a lack of actual notice in time to defend the action which was not caused by Defendant’s avoidance of service or inexcusable neglect.

4. Mistake, Inadvertence, Surprise, Or Excusable Neglect.

Under Code of Civil Procedure section 473(b), the Court may, in its discretion, relieve a party from a default judgment resulting from “his or her mistake, inadvertence, surprise, or excusable neglect.” Code Civ. Proc., § 473(b); *Rivercourt Co. Ltd. v. Dyna-Tel, Inc.* (1996) 41 Cal.App.4th 1477, 1480 (“*Rivercourt*”). A motion seeking relief under section 473 is addressed to the sound discretion of the trial court. *Rivercourt, supra*, 41 Cal.App.4th at 1480. Neither mistake, inadvertence, nor neglect will warrant relief unless upon consideration of all of the evidence it is found to be excusable. *Conway v. Municipal Court* (1980) 107 Cal.App.3d 1009, 1017. The party seeking relief under section 473(b) bears the burden of establishing that the mistake, inadvertence, surprise or neglect was excusable. *Id.*

The Court need not consider this separate ground for relief in light of the findings above.

Disposition

The Court finds and orders as follows:

1. For the reasons set forth above, the Court is inclined to grant the Motion to Set Aside Default. However, it appears that Plaintiff may not have received proper notice of the hearing date and time.
2. In the exercise of its discretion, the Court *sua sponte* continues this matter to **July 13, 2026**, at **9:00 am**, in **Department 34**. The Clerk is directed to serve all parties with this order, with notice of the continued hearing date and time.
3. The parties are ordered to meet and confer regarding the relief sought by the motion in light of the Court’s expressed tentative ruling. If resolved through such meet and confer efforts, the parties may file a stipulation to set aside the Default and Default Judgment and for Defendant to file a responsive pleading within ten (10) days of notice of entry of any order approving such stipulation.

17. 9:00 AM CASE NUMBER: N23-0180
CASE NAME: THOMAS BUTT VS. EDUARDO MARTINEZ
***HEARING ON MOTION IN RE: TAX OR STRIKE COSTS**
FILED BY: BUTT, THOMAS
TENTATIVE RULING:

Petitioner and plaintiff Thomas Butt (“Petitioner”) filed a Motion to Strike or Tax Costs on February 9, 2026 (the “Motion to Tax Costs”). The Motion to Tax Costs was set for hearing on June 22, 2026.

Background

A judgment was entered on January 20, 2026 (the “Judgment”). The Judgment determined that

defendants and respondents (“Defendants”) are the prevailing parties, after a Motion for Judgment on the Pleadings as to Petitioner’s Verified Petition was granted without leave to amend. See Judgment, p. 2.

Thereafter, a Memorandum of Costs was filed by defendants on February 9, 2026 (the “Memo of Costs”). The Memo of Costs seeks an award of \$3,400.19 in total costs.

Petitioner then brought this Motion to Tax Costs.

No opposition has been filed.

Analysis

When awarding costs, a court must apply the following principles: (1) costs are allowable if incurred, whether or not paid; (2) allowable costs must be reasonably necessary to the conduct of the litigation, not merely convenient or beneficial to its preparation, and (3) allowable costs must be reasonable in amount. See CJER, *California Judges Benchbook: Civil Proceedings—Trial* (2025) (“CJER Civ. Pro.—Trial”), § 16.17; see Code Civ. Proc. § 1033.5. If the items on a verified memorandum of costs appear to be proper charges, the memorandum is prima facie evidence of their propriety and the burden is on the party contesting them to show that they were not reasonable or necessary. *Hooked Media Group, Inc. v. Apple Inc.* (2020) 55 Cal.App.5th 323, 338; see CJER Civ. Pro.—Trial, § 16.18. Moreover, Plaintiff is entitled to recover expenses beyond those allowable in Code of Civil Procedure section 1033.5, by virtue of, at the very least, the parties’ settlement agreement.

The Motion to Tax Costs takes issue with three cost items (the “Cost Items at Issue”):

1. **Cost Item 1 in the Amount of \$495 for Filing and Motion Fees.** Petitioner contends that these are not recoverable because “these fees are waived by statute for public entities and thus not incurred.”
2. **Cost Item 9 in the Amount of \$1,754.36 for Court-Ordered Transcripts.** Petitioner asserts that “no transcripts were ordered by the Court”
3. **A Portion of Cost Item 14 in the Amount of \$243.00 for Fees for Electronic Filing or Service.** Petitioner contends that “the claimed personal service expense is not an electronic filing or service fee and is improperly included in this category.”

Disposition

The Court finds and orders as follows:

1. The Motion to Tax Costs is CONTINUED to **August 31, 2026, 9:00 am**, in **Department 34**.
2. The parties are ordered to meet and confer **within thirty (30) days** regarding the Cost Items at Issue.
3. As to any of the Cost Items at Issue which Defendants do not agree should be stricken, Defendants shall file a declaration under penalty of perjury setting forth the basis for the recovery of the cost item(s). Such declaration shall be filed and served no later than **August 10, 2026**. Any response by Petitioner shall be filed and served no later than **August 24, 2026**.
4. The Court shall issue the order after hearing.

18. 9:00 AM CASE NUMBER: N25-1244
CASE NAME: MALINA CURIALE VS. RUBY LIU
HEARING IN RE: MOTION TO SET ASIDE VOID JUDGMENT
FILED BY:
TENTATIVE RULING:

Respondent Ruby She Liu's Motion to Set Aside Void Judgment is **DENIED**.

Background

This is a Civil Harassment Restraining Order (CHRO) proceeding filed by Petitioner Malina Mae Curiale against Respondent Ruby She Liu.

On September 2, 2025, then-Commissioner Verriere conducted an evidentiary hearing with both parties present, considered the testimony of the parties and other evidence submitted, and granted a CHRO against Respondent.

Respondent filed both an appeal of the September 2 order and a Motion to Vacate the order. On October 31, 2025, Judge Marquez denied the Motion to Vacate on all grounds, including Respondent's contention that Commissioner Verriere lacked jurisdiction to proceed in the absence of a stipulation of the parties. Respondent filed a notice of abandonment of the appeal on November 4, 2025.

On November 26, 2025, Respondent filed a motion for reconsideration of Judge Marquez's October 31 order, again raising the commissioner's jurisdiction and asserting newly discovered evidence. That motion was set for hearing on December 30, 2025 and continued several times before Judge Marquez heard and denied it on April 27, 2026.

On March 2, 2026, while her motion for reconsideration was still pending, Respondent filed the instant motion to set aside void judgment under Code of Civil Procedure section 473(d).

Respondent moves to set aside the September 2, 2025 order as void under Code of Civil Procedure section 473(d), contending that Commissioner Verriere lacked subject matter jurisdiction because *Petitioner* was purportedly never properly advised of her right to consent or object to proceedings before a commissioner, and did not consent. On that basis, Respondent contends that no valid bilateral stipulation was formed and the CHRO is void. Respondent requests dismissal of the underlying petition with prejudice and removal of the matter from the CLETS system.

Analysis

Although Respondent styles her motion as one to set aside a void judgment under Code of Civil Procedure section 473(d), the nature of a motion is determined by the relief sought, not the label attached to it. (*California Correctional Peace Officers Assn. v. Virga* (2010) 181 Cal.App.4th 30, 43.) Because the instant motion seeks the identical relief as Respondent's prior Motion to Vacate and Motion for Reconsideration, vacatur of the September 2, 2025 order, Respondent's motion under Code of Civil Procedure section 473(d) is properly construed a renewed motion governed by Code of

Civil Procedure section 1008(b).

Code of Civil Procedure section 1008(a) provides,

(a) When an application for an order has been made to a judge, or to a court, and refused in whole or in part, or granted, or granted conditionally, or on terms, any party affected by the order may, within 10 days after service upon the party of written notice of entry of the order and based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order. The party making the application shall state by affidavit what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown.

Section 1008(e) provides,

(e) This section specifies the court's jurisdiction with regard to applications for reconsideration of its orders and renewals of previous motions, and applies to all applications to reconsider any order of a judge or court, or for the renewal of a previous motion, whether the order deciding the previous matter or motion is interim or final. No application to reconsider any order or for the renewal of a previous motion may be considered by any judge or court unless made according to this section.

"According to the plain language of the statute, a court acts in excess of jurisdiction when it grants a motion to reconsider that is not based upon 'new or different facts, circumstances, or law.'" (*Gilbert v. AC Transit* (1995) 32 Cal.App.4th 1494, 1500.) Section 1008 is meant "to reduce the number of motions to reconsider and renewals of previous motions heard by judges in this state." (*California Correctional Peace Officers Assn., supra*, 181 Cal.App.4th at 42.)

Respondent moves to set aside the September 2, 2025 civil harassment restraining order as void under Code of Civil Procedure section 473(d), contending that the commissioner lacked jurisdiction because Petitioner was never properly advised of her right to consent or object to proceedings before a commissioner so no valid stipulation was obtained. This is the third time Respondent has sought vacatur of the same order, each time asserting variations of the same jurisdictional argument.

Although Respondent now invokes a different statutory vehicle and grounds her argument in Petitioner's alleged failure to consent to the commissioner's authority, she seeks identical relief. Her motion is not based on new or different facts, circumstances, or law -- only a new argument she could have advanced in her prior motions. That is insufficient to satisfy the requirements of section 1008, subdivision (b). (*Baldwin v. Home Savings of America* (1997) 59 Cal.App.4th 1192, 1199.)

Even if the court were to reach the merits, the motion would be denied. Respondent does not challenge the stipulation to proceed before Commissioner Verriere at the September 2, 2025 hearing at which the evidentiary record was made and the CHRO was issued. Respondent's argument is limited to what occurred at the August 5, 2025 hearing, a preliminary proceeding that resulted only in a continuance to permit service of the petition on Respondent. Respondent offers no reasoned analysis explaining why the absence of a stipulation at the August 5, 2025 preliminary hearing, which

produced no substantive order, would invalidate the CHRO issued following the September 2, 2025 evidentiary hearing at which the parties consented to proceed.

Respondent's request for dismissal of the underlying petition with prejudice and removal of the matter from the CLETS system is likewise denied, as it is predicated on the granting of the motion to set aside.

Disposition

Based on the foregoing, the motion is **DENIED** in its entirety.

Discovery Law & Motion

19. 9:01 AM CASE NUMBER: C23-02000
CASE NAME: JAQUELINE BECCARI VS. ALLSTATE INSURANCE COMPANY
***HEARING ON MOTION FOR DISCOVERY COMPEL DISCOVERY RESPONSES**
FILED BY: ALLSTATE INSURANCE COMPANY
TENTATIVE RULING:

Defendant Allstate Insurance Company ("Defendant") filed a Motion to Compel Discovery Responses (the "Motion to Compel") against plaintiff Jacqueline Beccari ("Plaintiff") on February 26, 2026. The Motion to Compel was set for hearing on June 22, 2026.

Background

The Motion to Compel relates to a supplemental discovery request and production of documents served on Plaintiff on December 30, 2025 (the "Discovery Request"). See Declaration of Christopher Todd filed February 26, 2026 as part of Motion to Compel Discovery Responses ("Todd Decl."), ¶¶9-10 and **Exhibit B** thereto (including Proofs of Service dated December 30, 2026). The declaration describes a set of initial discovery requests served on March 8, 2024 with Plaintiff serving responses on April 9, 2024. *Id.* at ¶16. On October 22, 2025, Defendant sent a meet and confer letter requesting supplemental responses to the initial requests. *Id.* at 7. Plaintiff's counsel responded to the meet and confer letter but no discovery responses were provided. *Id.* Defendant subsequently served the subject Discovery Request on December 30, 2025, with a deadline on February 2, 2026. *Id.* at 9. No responses were received by the deadline. *Id.* Defendant sent an additional meet and confer letter on February 3, 2026 regarding the deadline but received no response. *Id.* at 11. The Motion to Compel was subsequently filed on February 26, 2026. See Motion to Compel filed February 26, 2026.

Plaintiff served responses to Defendant's Discovery Request on June 8, 2026. See Declaration of Michael Stone-Molloy as part of Notice of Mootness filed June 8, 2026 ("Stone-Molloy Decl."), ¶14 and **Exhibit A** thereto (including Proofs of Service dated June 8, 2026).

Analysis

Where a party to whom a discovery request is propounded fails to serve a timely response, the propounding party may move for an order compelling a response. See Code Civ. Proc. § 2030.290 (as to interrogatories); Code Civ. Proc. § 2031.300 (as to demand for inspection of documents). The propounding party may also seek the imposition of monetary sanctions. *Id.* Where tardy responses are served after the motion is filed, the motion may still be heard. See Weil & Brown et al., *Cal. Prac. Guide: Civ. Pro. Before Trial* (The Rutter Group 2025), 8:1137.

Here, Plaintiff has served responses to the subject Discovery Request on June 8, 2026. See Stone-Molloy Decl., ¶4 and **Exhibit A** thereto (including Proofs of Service dated June 8, 2026). Given that responses have been served, the Motion to Compel is now moot. The Court declines to consider the sufficiency of the responses as no separate statement has been filed pursuant to Rule 3.1345(a) of the California Rules of Court (CRC).

Sanctions

The moving party did not request sanctions.

Disposition

The Court finds and orders as follows:

1. The Motion to Compel is DENIED as MOOT.

20. 9:01 AM CASE NUMBER: C24-02099
CASE NAME: DIANA BONNETT VS. NORCAL PRIME FOODS DISTRIBUTOR, INC.
***HEARING ON MOTION FOR DISCOVERY COMPEL POST JUDGMENT INTERROGATORIES, SET ONE**
FILED BY: BONNETT, DIANA
TENTATIVE RULING:

Plaintiffs and judgment creditors Diana Bonnett and Candice Bright (“Judgment Creditors”) filed a Motion to Compel Interrogatory Responses, Waive Objections, Award Sanctions against defendant and judgment debtor NorCal Prime Foods Distributor, Inc. (“Judgment Debtor”) on October 23, 2025. Judgment Creditors filed a Motion to Compel Production of Documents, Waive Objections, Award Sanctions against Judgment Debtor on October 28, 2025 (collectively, the “Motions to Compel”). The Motions to Compel were set for hearing on June 22, 2026.

Background

A money judgment was entered by the Court on April 16, 2025 (the “Judgment”) against the Judgment Debtor.

After entry of Judgment, the Judgment Creditors served the Judgment Debtor with post-judgment interrogatories and a request for production of documents (collectively, the “Discovery Requests”). See Declaration of Eurik O’Bryant filed October 23, 2025 as part of Motion to Compel Interrogatories,

("O'Bryant Decl. re Interrogatories"), ¶16 and **Exhibit A** thereto (including Proof of Service dated July 15, 2025); Declaration of Eurik O'Bryant filed October 28, 2025 as part of Motion to Compel Production of Documents, ("O'Bryant Decl. re Production of Documents"), ¶16 and **Exhibit A** thereto (including Proof of Service dated July 15, 2025). The Discovery Requests were served on July 15, 2025 through mail and email to the Judgement Debtor's current address. *Id.*

Analysis

Under Code of Civil Procedure sections 708.020 and 708.030, a judgment creditor may propound written interrogatories and document production requests to a judgment debtor, in the same manner as provided for discovery generally in a pending civil action, commencing with Code of Civil Procedure section 2030.010. See Code Civ. Proc. §§ 708.020(a), 708.030(a). Interrogatories and document production requests served on a judgment debtor may be enforced in the same manner as in a civil action. *Id.* at §§ 708.020(c), 708.030(c).

Where a party to whom a discovery request is propounded fails to serve a timely response, the propounding party may move for an order compelling a response. See Code Civ. Proc. §§ 2030.290 (as to interrogatories), 2031.300 (as to production of documents). The propounding party may also seek the imposition of monetary sanctions. *Id.* §§ 2030.290, 2031.300.

With a five calendar day extension for service of the Discovery Requests by mail, the responses were due to be served on or before August 19, 2025. No responses were received before this deadline. See O'Bryant Decl. re Interrogatories, ¶16-12; O'Bryant Decl. re Production of Documents, ¶¶16-12. Meet and confer requests were made by Plaintiffs on September 11, 2025. *Id.* Defendant responded stating they would comply with the Discovery Requests by October 15, 2025. *Id.* Plaintiffs granted an extension for discovery responses until October 10, 2025. *Id.* No responses were received by the extended deadline, and no further updates regarding responses have been filed with the Court. *Id.*

Having considered the moving papers and any further pleadings submitted, the Court makes the following findings as to the Discovery Requests at issue:

1. Judgment Debtor was duly served with the subject Discovery Requests.
2. No timely response was made to the Discovery Requests by Judgment Debtor by the initial deadline.
3. Judgment Creditors engaged in meet and confer efforts and granted an extension for discovery responses. Judgment Debtor did not provide responses to the Discovery Requests by the extended deadline.
4. No oppositions or other responsive pleadings by Judgment Debtor have been filed with the Court.

Sanctions

Judgment Debtor's failure to respond to the Discovery Requests after the extended deadline to do so had passed constitutes failing to respond to an authorized method of discovery, pursuant to Code of Civil Procedure section 2023.010(d).

The Court finds that the foregoing conduct by Judgment Debtor constituted conduct that was a misuse of the discovery process within the meaning of Code of Civil Procedure section 2023.030 and that such conduct warrants the imposition of monetary sanctions. In failing to timely respond to the Discovery Requests, the Court finds that Judgment Debtor did not act with substantial justification. Furthermore,

the Court does not find any other circumstances that would make the imposition of monetary sanctions unjust.

Disposition

The Court finds and rules as follows:

1. The Motions to Compel are GRANTED.
2. **Judgment Debtor shall serve verified responses to the Discovery Requests within thirty (30) calendar days of notice of entry of this order.** The Court finds that any objections to such Discovery Requests have been waived to the fullest extent permitted by applicable law. See Code Civ. Proc. §§ 2030.290, 2031.300.
3. Such responses shall be served on the propounding party via overnight mail to propounding party's attorney's office or other means providing tracking of delivery. Judgment Debtor shall thereafter prepare and execute a proof of service of such responses, signed under penalty of perjury.
4. Judgment Debtor shall pay monetary sanctions to the Judgment Creditors in the amount of **\$2,835.00** (the "Monetary Sanctions"). The Court finds that the Monetary Sanctions are reasonable expenses, including attorneys' fees, incurred by the Judgment Creditors as a result of the foregoing conduct by Judgment Debtor. In fixing said amount, the Court has considered all evidence in the record before the Court, including the supporting declarations of the moving party. **The Monetary Sanctions shall be paid by Judgment Debtor within thirty (30) calendar days of notice of entry of this order.**
5. The Court shall enter the order after hearing.

21. 9:01 AM CASE NUMBER: C24-02099

CASE NAME: DIANA BONNETT VS. NORCAL PRIME FOODS DISTRIBUTOR, INC.

*HEARING ON MOTION FOR DISCOVERY COMPEL RESPONSES TO REQUEST FOR PRODUCTION OF DOCUMENTS, SET ONE

FILED BY: BONNETT, DIANA

TENTATIVE RULING:

See LINE 20 above.